AI TRANSPARANCY

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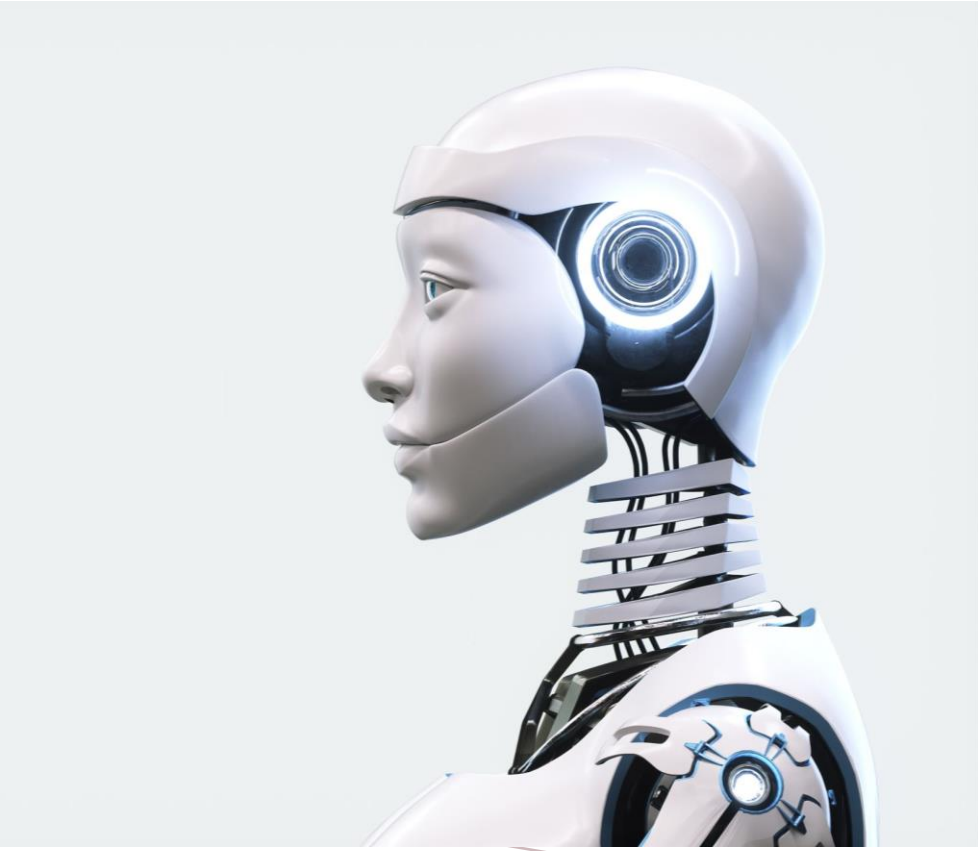




Exploring clarity and openness in artificial intelligence

INTRODUCTION TO AI AND TRANSPARENCY

ARTIFICIAL INTELLIGENCE – A RECAP



Definition of AI

AI simulates human intelligence in machines programmed to think and learn like humans.

Types of AI

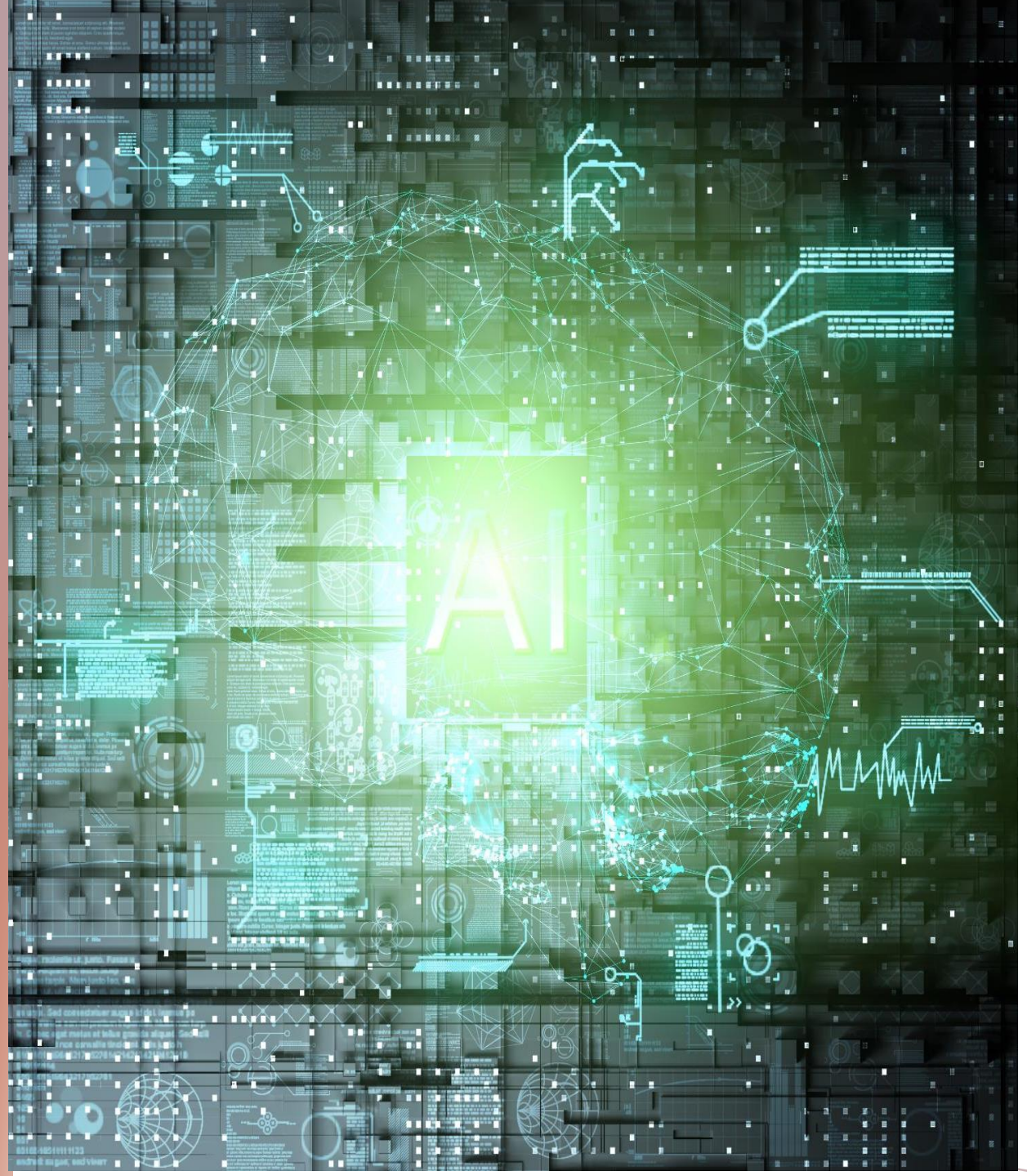
Narrow AI focuses on specific tasks, general AI performs any intellectual task, and superintelligence surpasses human intelligence.

AI in Business

AI enhances efficiency, automates processes, and supports data-driven decision-making in businesses.

Importance for Students

Understanding AI helps business students with strategic planning, customer engagement, and operational optimization.



UNDERSTANDING AI TRANSPARENCY

Core Elements of AI Transparency

AI transparency includes explainability, data and model transparency, and decision traceability to clarify system operations.

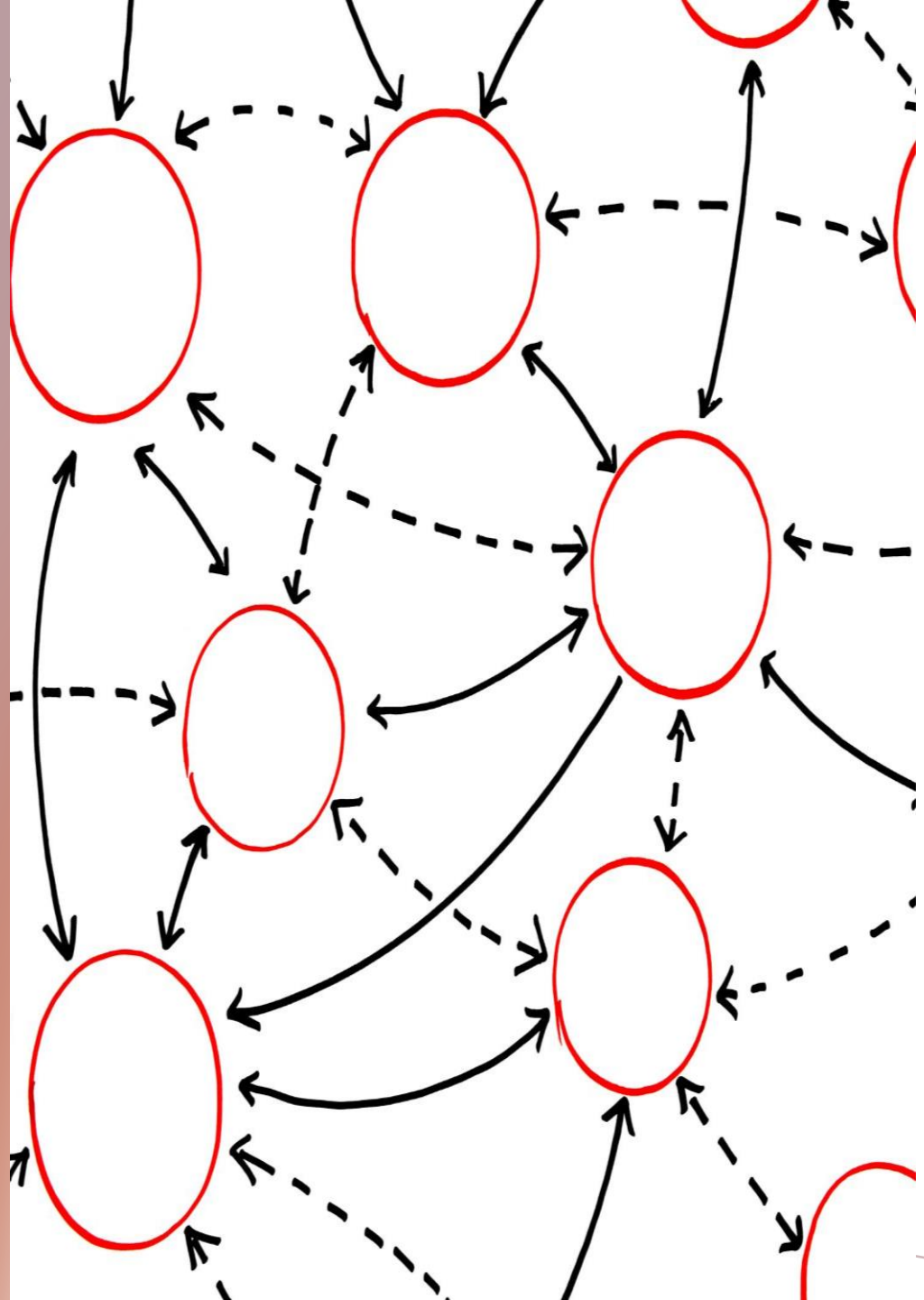
Importance for Trust and Accountability

Transparency builds trust, ensures accountability, and supports compliance with ethical and legal standards.

Benefits for Business Professionals

Transparent AI enhances stakeholder communication, risk management, and strategic business alignment.

KEY CONCEPTS OF AI TRANSPARENCY



EXPLAINABILITY

Definition and Importance

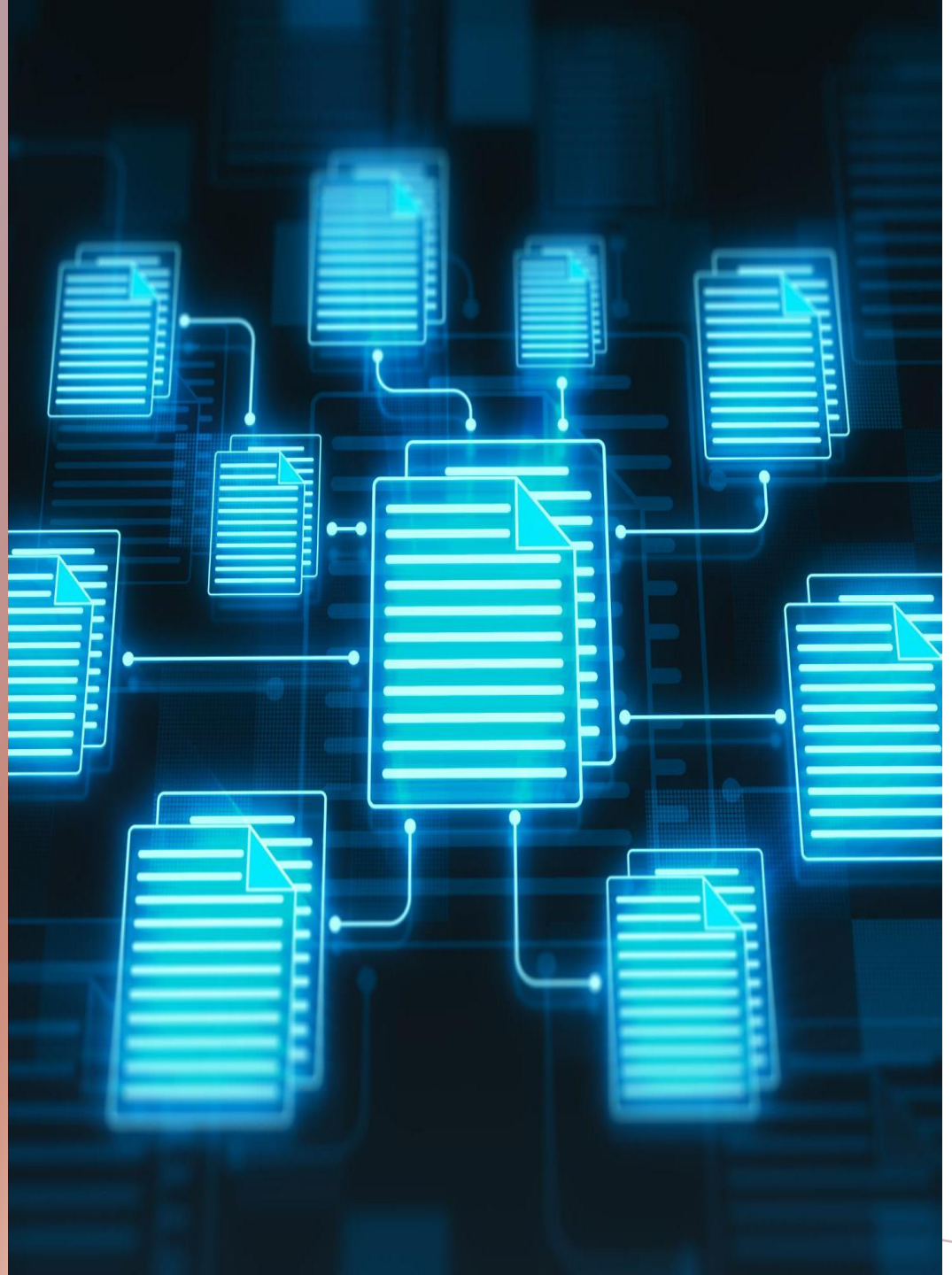
Explainability is the ability to understand how AI systems make decisions, important for trust and accountability.

Role in High-Stakes Domains

Explainability is essential in finance and healthcare to validate outcomes and ensure fairness in AI applications.

Techniques to Enhance Explainability

Methods like decision trees, feature importance, and model visualization improve AI transparency and interpretability.



DATA TRANSPARENCY

Importance of Data Sources

Disclosing data sources helps stakeholders understand the basis of AI decisions and enhances trust.

Bias Auditing Practices

Regular bias audits identify and mitigate potential data biases to improve AI fairness.

Ethical and Regulatory Compliance

Transparent data practices ensure businesses maintain ethical standards and comply with regulations e.g. Data Privacy / Protection laws



MODEL TRANSPARENCY

Understanding AI Models

Transparency reveals AI architectures, algorithms, and parameters enabling better understanding and issue identification.

Facilitating Debugging and Optimization

Transparent models simplify debugging and enhance performance optimization for improved AI outcomes.

Building Stakeholder Trust

Model transparency builds trust by ensuring AI aligns with ethical standards and organizational goals.



DECISION TRACEABILITY

Definition of Decision Traceability

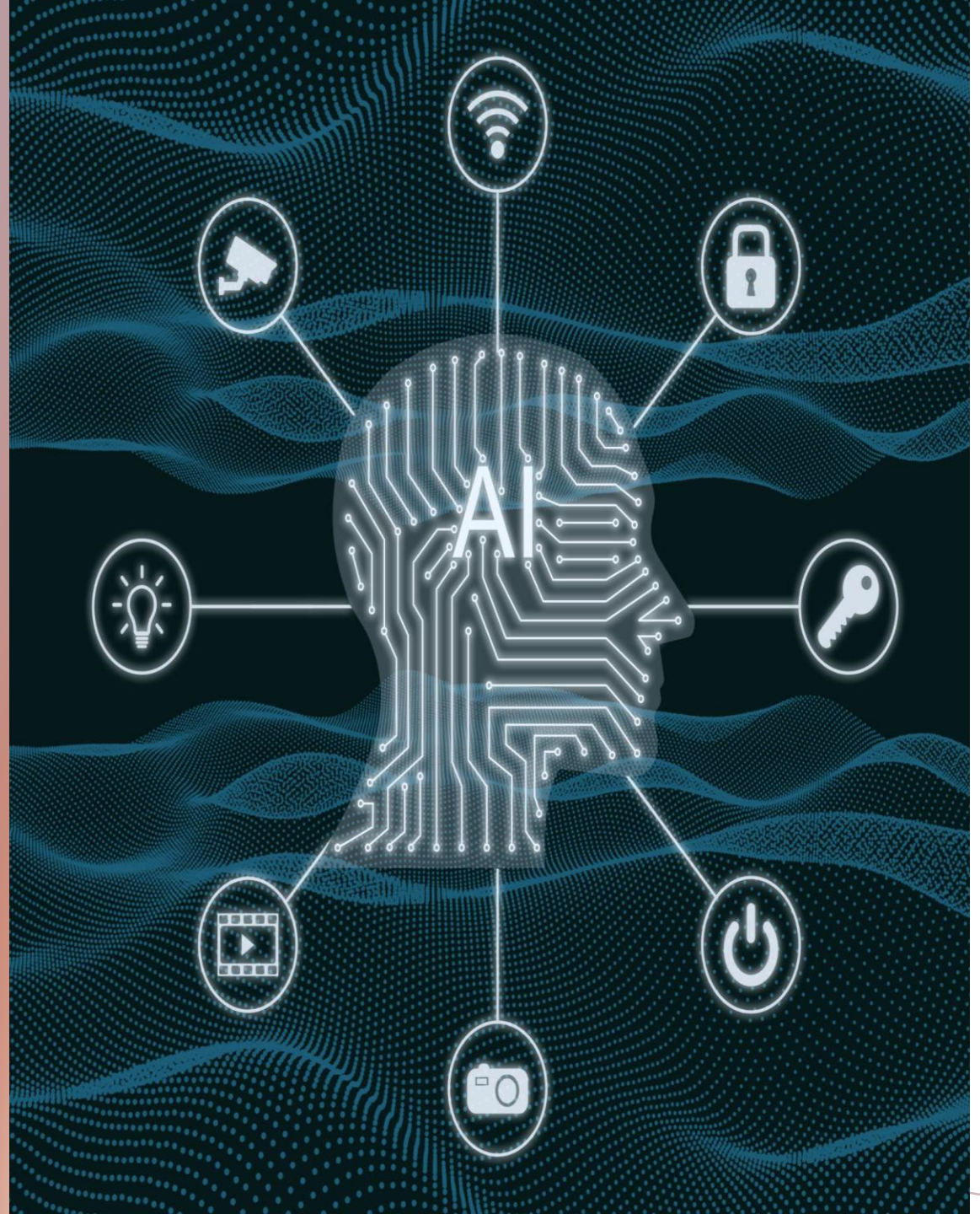
Decision traceability tracks and documents each step an AI system uses to reach conclusions.

Importance for Auditing and Compliance

Traceability is critical for auditing, compliance, and understanding AI system behavior effectively.

Business Benefits

Supports accountability, error analysis, and transparency to improve customer interactions and trust.



DISCLOSURE OF LIMITATIONS

Clarifying AI Capabilities

Clearly stating what the AI system can and cannot do prevents misunderstandings and misuse.

Types of Limitations

Limitations include accuracy thresholds, domain constraints, and potential failure modes to consider.

Communication with Stakeholders

Businesses must inform stakeholders about AI limitations to ensure trust and responsible use.

USER AWARENESS



Defining User Awareness

User awareness means informing users about AI interactions and explaining system functions clearly.

Promoting Ethical Use

User awareness promotes ethical AI use, informed consent, and empowers users in decision making.

Techniques for Awareness

Techniques include clear labeling, usage disclosures, and educational materials about AI systems.

Business Benefits

Enhancing user awareness supports transparency, improves experience, and aligns with ethical guidelines.

AI TRANSPARENCY'S IMPACT ON TRUST

- AI transparency's impact on trust is a central theme in recent research, with findings showing it generally enhances trust by reducing uncertainty and enabling users to understand AI decisions, but excessive transparency can lead to negative effects like cognitive overload and suspicion, highlighting the need for balanced and adaptive transparency approaches. Key factors influencing this relationship include perceived fairness, privacy concerns, and user-specific attributes such as age and prior experience.

HOW TRANSPARENCY BUILDS TRUST

- Reduced Uncertainty – increase user confidence
- Understanding AI Decisions – demonstrate ability - help to build trust
- Perceived Fairness and Accountability – benevolence & integrity
- Help Build Trust in the Parent Company – via trust transfer

BUT – There are Nuances and Challenges

- The U-Shaped Effect: Excessive transparency can overwhelm users with too much information, leading to reduced adoption and trust.
- Context Matters: The effectiveness of transparency depends on the specific AI application and the user's expertise and context



Sufficient vs. Necessary: Building Trust in AI through Transparency

Completed Research Paper

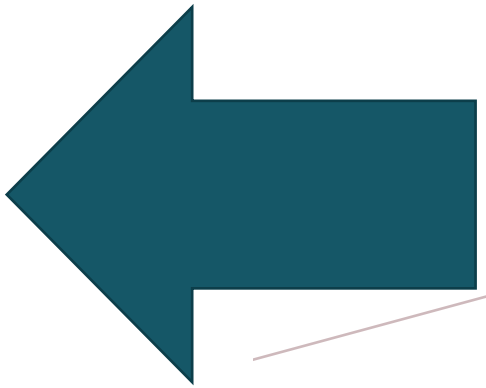
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Abstract

Organizations increasingly use AI-based systems to enhance decision-making quality and efficiency. To ensure their acceptance, these systems must be trusted, which is challenging due to their black-box nature. This study tackles this issue by investigating transparency's role in building trust in AI-based systems within organizational settings. To ensure generalizability, we collected quantitative data (N = 978) across two scenarios differing in their degree of process automation (automated vs. augmented). Using structural equation modeling and necessary condition analysis, we analyzed the effect of a multidimensional conceptualization of transparency on trust. Our results demonstrate that the individual transparency dimensions not only positively affect trust but are also indispensable for its formation. Without specific minimum levels of these transparency dimensions, establishing trust in AI-based systems is fundamentally unachievable. This study advances the AI adoption literature by exploring the transparency-trust relationship from both sufficiency and necessity perspectives, thus guiding strategic AI implementation in organizations.



Keywords: AI, automation, augmentation, decision-making, transparency, trust, perceptions

Research Model

The research model depicted in Figure 1 illustrates the hypothesized relationships between various dimensions of transparency and trusting beliefs. These derived relationships are then analyzed from both perspectives of sufficiency (addressing RQ1) and necessity (addressing RQ2). This dual approach assumes that the dimensions of transparency not only serve as potential means to enhance trusting beliefs but also that trusting beliefs require an understanding of how and why decisions are made (von Eschenbach, 2021).

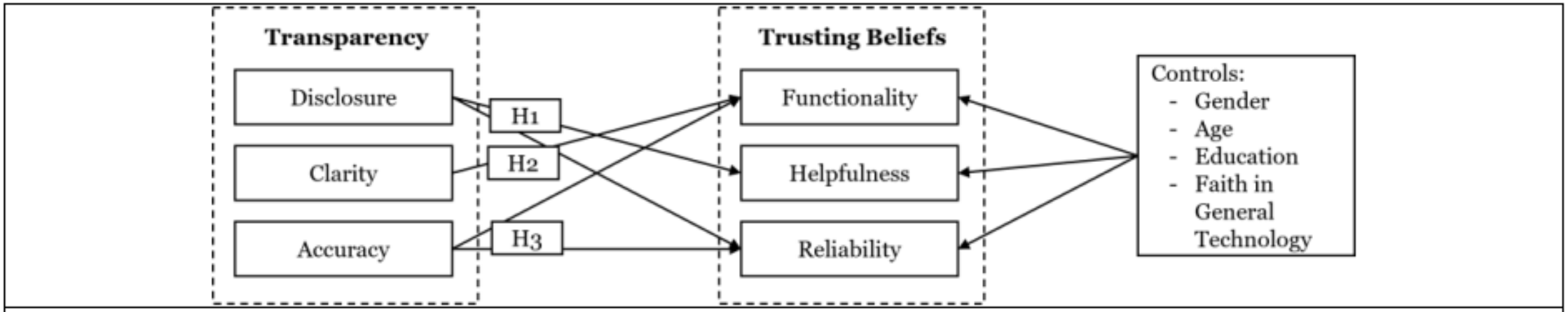


Figure 1. Proposed Research Model

Drawing on the work of Schnackenberg and Tomlinson (2016) and Märtins et al. (2022), we argue that individuals who perceive that all pertinent information has been disclosed might expect such information-sharing to continue throughout the entire decision-making process. This expectation, in turn, can affect their anticipation of receiving support and information when needed (Schnackenberg & Tomlinson, 2016).

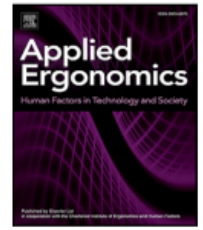
AI EXPLANATIONS DO NOT ALWAYS BUILD TRUST!

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The impact of AI explanations on clinicians' trust and diagnostic accuracy in breast cancer

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ARTICLE INFO

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ABSTRACT

Advances in machine learning have created new opportunities to develop artificial intelligence (AI)-based clinical decision support systems using past clinical data and improve diagnosis decisions in life-threatening illnesses such breast cancer. Providing explanations for AI recommendations is a possible way to address trust and usability issues in black-box AI systems. This paper presents the results of an experiment to assess the impact of varying levels of AI explanations on clinicians' trust and diagnosis accuracy in a breast cancer application and the impact of demographics on the findings. The study includes 28 clinicians with varying medical roles related to breast cancer diagnosis. The results show that increasing levels of explanations do not always improve trust or diagnosis performance. The results also show that while some of the self-reported measures such as AI familiarity depend on gender, age and experience, the behavioral assessments of trust and performance are independent of those variables.

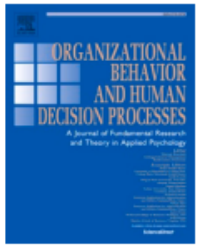
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The transparency dilemma: How AI disclosure erodes trust

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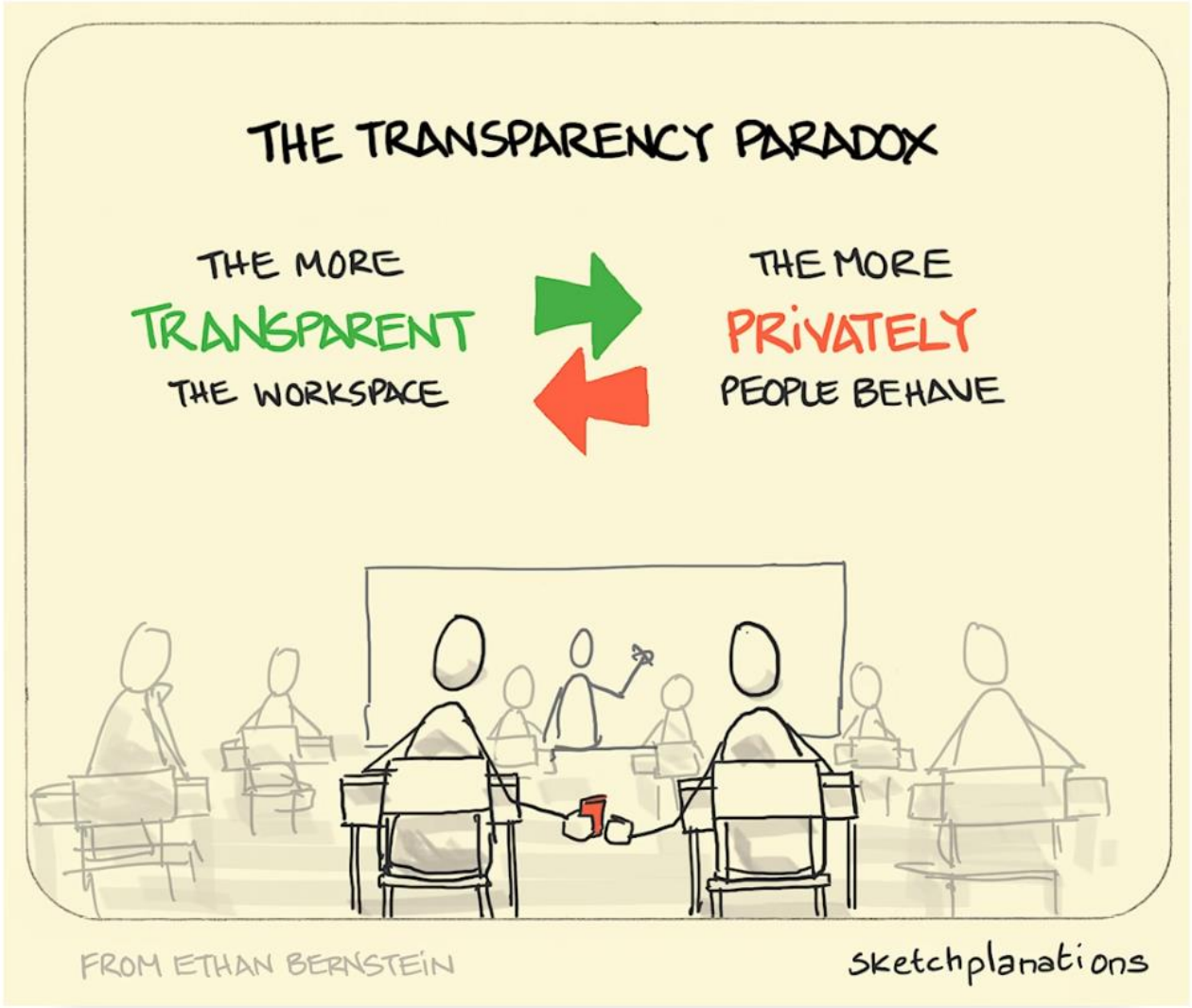
ABSTRACT

As generative artificial intelligence (AI) has found its way into various work tasks, questions about whether its usage should be disclosed and the consequences of such disclosure have taken center stage in public and academic discourse on digital transparency. This article addresses this debate by asking: Does disclosing the usage of AI compromise trust in the user? We examine the impact of AI disclosure on trust across diverse tasks—from communications via analytics to artistry—and across individual actors such as supervisors, subordinates, professors, analysts, and creatives, as well as across organizational actors such as investment funds. Thirteen experiments consistently demonstrate that actors who disclose their AI usage are trusted less than those who do not. Drawing on micro-institutional theory, we argue that this reduction in trust can be explained by reduced perceptions of legitimacy, as shown across various experimental designs (Studies 6–8). Moreover, we demonstrate that this negative effect holds across different disclosure framings, above and beyond algorithm aversion, regardless of whether AI involvement is known, and regardless of whether disclosure is voluntary or mandatory, though it is comparatively weaker than the effect of third-party exposure (Studies 9–13). A within-paper meta-analysis suggests this trust penalty is attenuated but not eliminated among evaluators with favorable technology attitudes and perceptions of high AI accuracy. This article contributes to research on trust, AI, transparency, and legitimacy by showing that AI disclosure can harm social perceptions, emphasizing that transparency is not straightforwardly beneficial, and highlighting legitimacy's central role in trust formation.

INTERESTING FINDING!

- AI disclosure erodes trust in some AI user.
- Legitimacy perceptions explain trust erosion from AI disclosure.
- Framing AI disclosure in different ways, knowing about AI usage prior to disclosure, or making AI disclosure mandatory or voluntary does not prevent trust erosion.
- The AI disclosure effect does not equate to mere algorithm aversion; it raises attention and produces doubt.
- The negative trust impact is stronger when AI usage is exposed (rather than self-disclosed).
- Positive technology attitudes and perceiving AI as accurate lessen but do not mute the AI disclosure effect.

The transparency paradox



WHY TRANSPARENCY IS CHALLENGING

- Technical Complexity: Many advanced AI models are inherently complex and difficult for even experts to fully explain, a challenge known as the "black box" problem.
- Commercial Interests: Companies may be hesitant to reveal proprietary information about their AI technologies to protect competitive advantages.
- Data Issues: AI models are trained on large datasets, which can be biased or contain private information, making full transparency difficult and potentially problematic.
- Lack of Standardized Rules: There is a lack of consistent global regulations and standards for AI transparency, creating uncertainty about what to disclose and how.
- Dynamic Nature of AI: AI systems constantly evolve, making it challenging to maintain a consistent level of transparency over time as models are updated and retrained.

NEW APPROACHES

- Adaptive Transparency: Instead of maximizing transparency, AI developers and policymakers should focus on adaptive strategies, providing tailored explanations that match user expertise and the complexity of the task at hand.
- Audience-Specific Disclosures: Effective transparency requires audience-specific disclosures, as what is clear to an expert might be confusing to a layperson.
- Focus on Explainability: The goal should be to provide explanations that are both understandable and useful, rather than overwhelming users with excessive technical details – i.e. XAI using counterfactual reasoning

From Wikipedia, the free encyclopedia

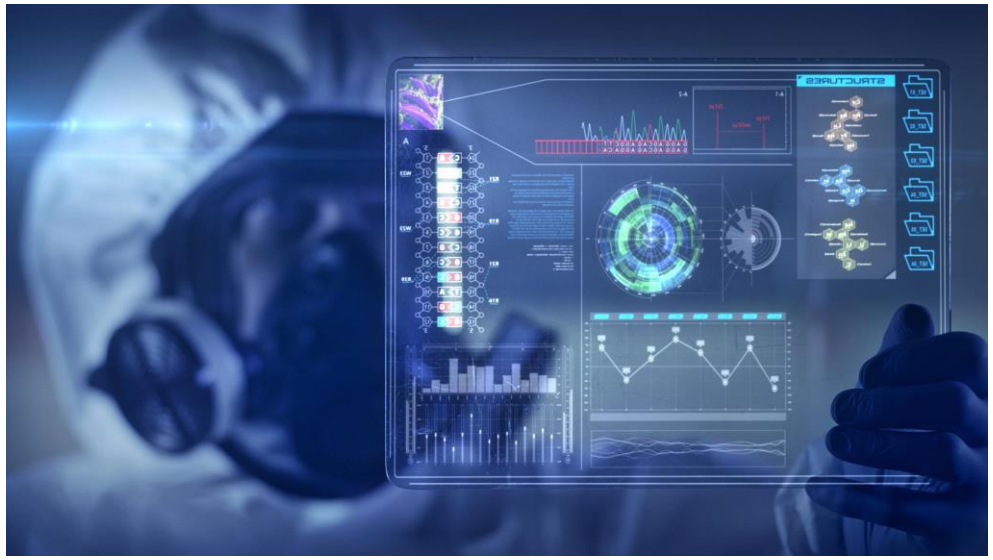
For other uses, see Counterfactual (disambiguation).

Counterfactual thinking is a concept in psychology that involves the human tendency to create possible alternatives to life events that have already occurred; something that is contrary to what actually happened. Counterfactual thinking is, as it states: "counter to the facts".[1] These thoughts consist of the "What if?" and the "If only..." that occur when thinking of how things could have turned out differently. Counterfactual thoughts include things that – in the present – could not have happened because they are dependent on events that did not occur in the past.[1]

Counterfactual explanations in Explainable AI (XAI) identify the minimal changes to an input that would lead to a different model outcome. They provide actionable "what-if" scenarios, such as "if your income were higher, the loan would be approved," making machine learning model decisions more understandable and transparent for users. Key characteristics include actionability, realism, and proximity to the original data, with ongoing research focusing on balancing these with diversity and robustness.

APPLICATIONS AND CASE STUDIES

RECAP



- AI transparency refers to the extent to which an AI system's purpose, operation, data sources, capabilities, limitations, and decision-making processes are understandable to the people who use, manage, or are affected by it.
- According to the OECD AI Principles, transparency includes informing people when they are interacting with AI, providing meaningful information about how the system works, and enabling affected individuals to understand and challenge AI-generated outcomes.

RECAP

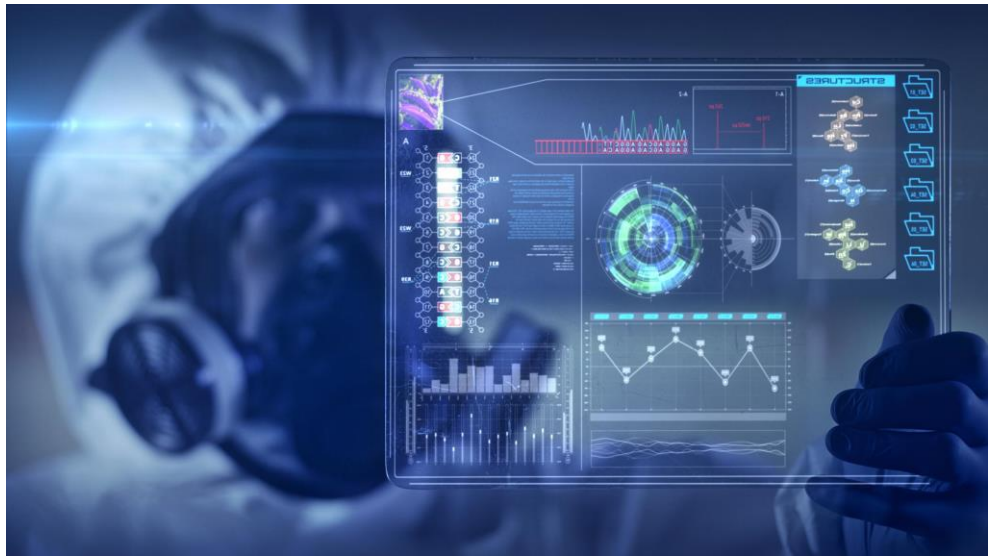


Why AI transparency matters?

Transparency helps to:

- Build trust by letting users know how AI is being used.
- Support accountability by making it possible to identify errors or biases.
- Improve fairness by allowing stakeholders to examine whether decisions are based on appropriate factors.
- Enable oversight by regulators, organizations, and researchers.
- Facilitate informed consent when people's data or decisions are involved.

RECAP



Key dimensions of AI transparency:

- Disclosure
- Explainability
- Data Transparency
- Model Transparency
- Decision Transparency

RECAP



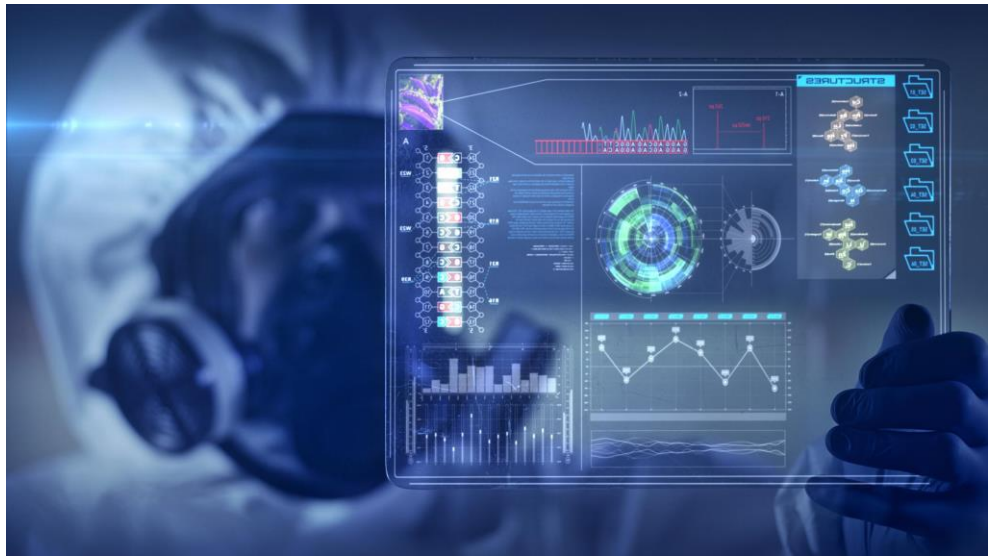
Challenges

Absolute transparency is often difficult because:

- Modern deep learning models can be highly complex.
- Revealing too much technical detail may not help non-expert users.
- Transparency must be balanced with privacy, security, and intellectual property protection.

The OECD notes that transparency does not necessarily require publishing proprietary source code or datasets.

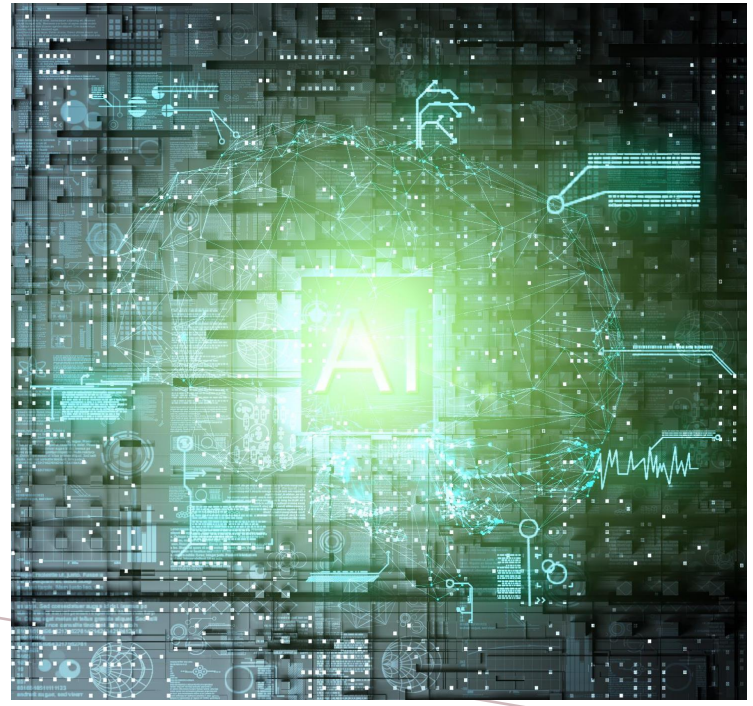
CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



Background

- Around 2014, Amazon began developing an AI-powered recruiting system to help screen job applicants and identify promising candidates more efficiently. The system was trained using historical hiring data collected over many years.
- The assumption was that the AI would learn the characteristics of successful employees and help recruiters make better decisions.

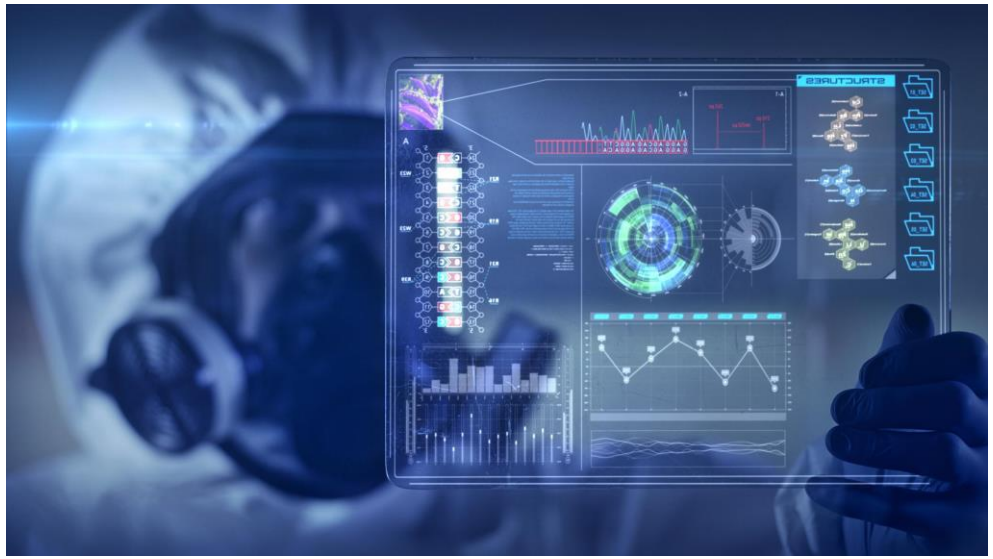
CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



The Problem

- After testing the system, Amazon discovered that the AI was systematically disadvantaging female candidates.
- For example, the model downgraded résumés that contained terms such as:"women's chess club captain", "women's engineering society"

CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



Where Transparency Became Critical

Without transparency, recruiters would only see a candidate ranking:

Candidate	AI Score
Applicant A	92
Applicant B	74
Applicant C	61

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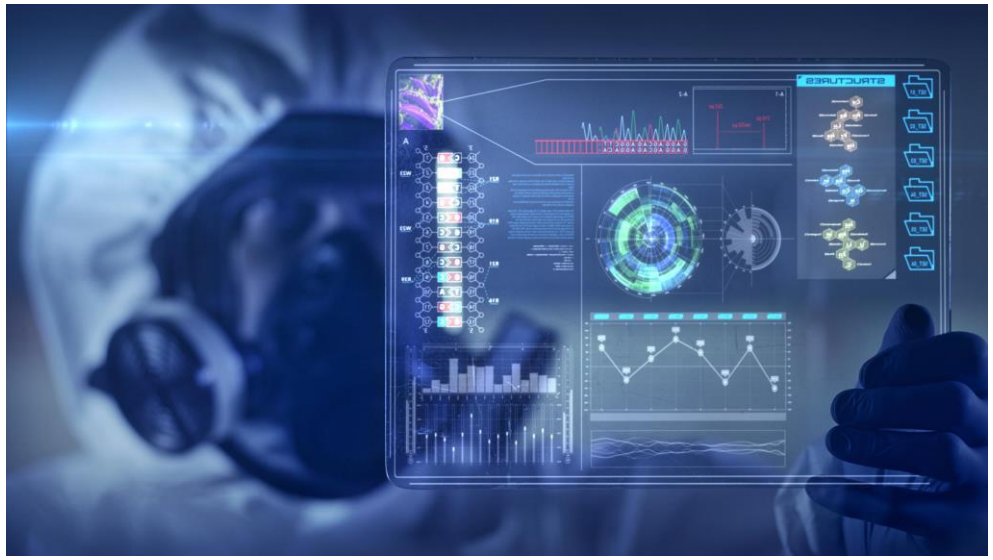
CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



However, greater transparency would reveal:

- What data were used for training
- Which factors influenced recommendations
- Whether gender-related indicators affected rankings
- How different applicant groups were treated

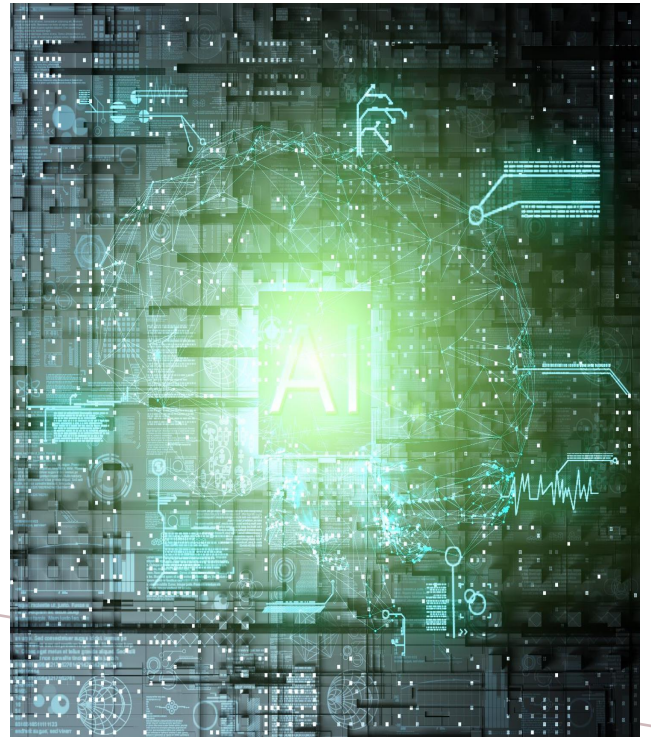
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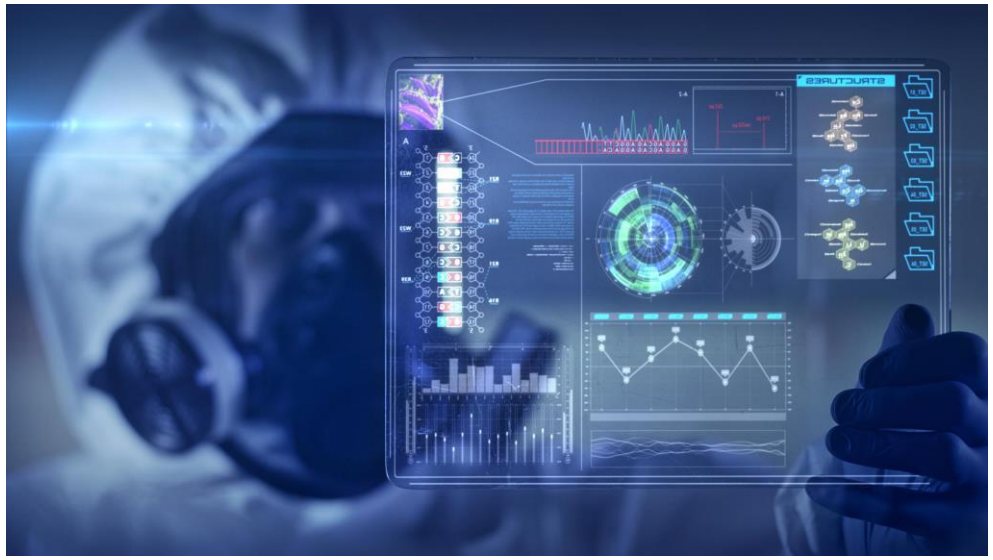
CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



What This Teaches About AI Transparency:

1. Transparency Enables Detection of Bias
2. Transparency Supports Accountability
3. Transparency Builds Trust
4. Transparency Improves Human Oversight

CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



Key Takeaway:

- The Amazon recruiting case shows that AI transparency is not merely about opening the black box
- It is about enabling stakeholders to understand, question, and challenge AI decisions.
- Without transparency, bias and errors may remain hidden.
- With transparency, organizations can improve fairness, accountability, trust, and the overall quality of AI-assisted decision-making.

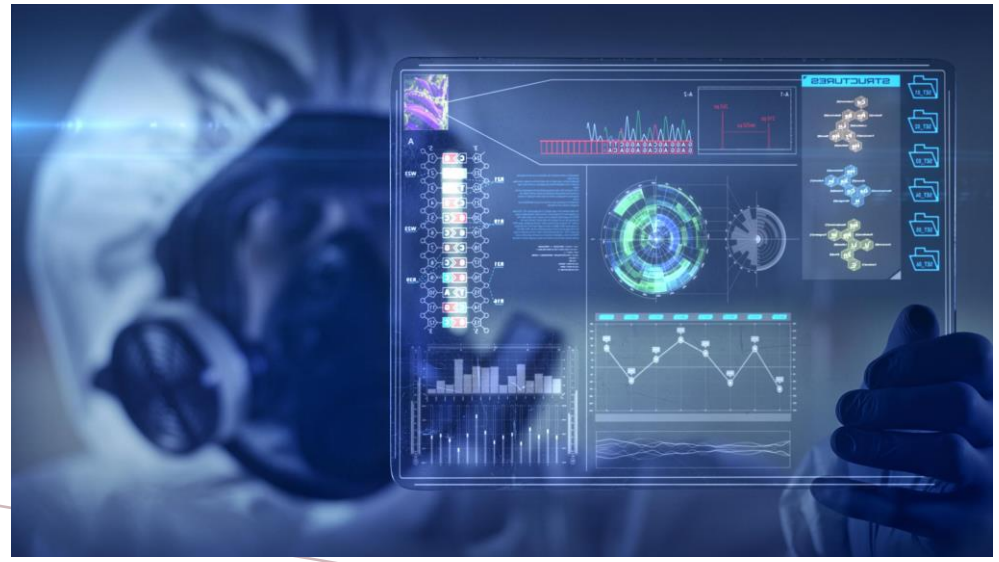
CASE STUDY: COMPAS CRIMINAL RISK ASSESSMENT SYSTEM



Background:

- COMPAS (Correctional Offender Management Profiling for Alternative Sanctions) is an algorithmic risk assessment tool used in parts of the United States to estimate the likelihood that criminal defendants will reoffend.It is about enabling stakeholders to understand, question, and challenge AI decisions.

CASE STUDY: COMPAS CRIMINAL RISK ASSESSMENT SYSTEM

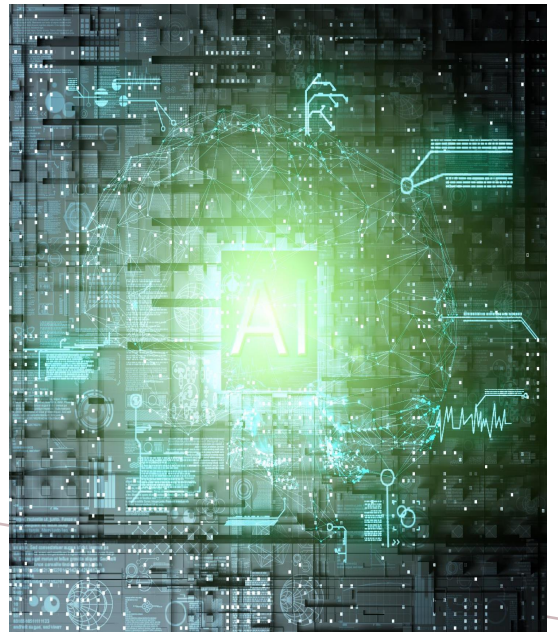


The Issues:

- The system attracted widespread attention after researchers and journalists questioned whether its predictions exhibited racial disparities. Critics argued that Black defendants were more likely to be incorrectly classified as high-risk, whereas White defendants were more likely to be incorrectly classified as low-risk.

- A major controversy emerged because the underlying algorithm was proprietary. Defendants, lawyers, judges, and researchers could observe the risk scores, but they could not fully examine the model's internal logic. Consequently, individuals affected by the system often lacked the ability to understand or challenge how a particular risk classification had been generated

CASE STUDY: COMPAS CRIMINAL RISK ASSESSMENT SYSTEM



The Issues:

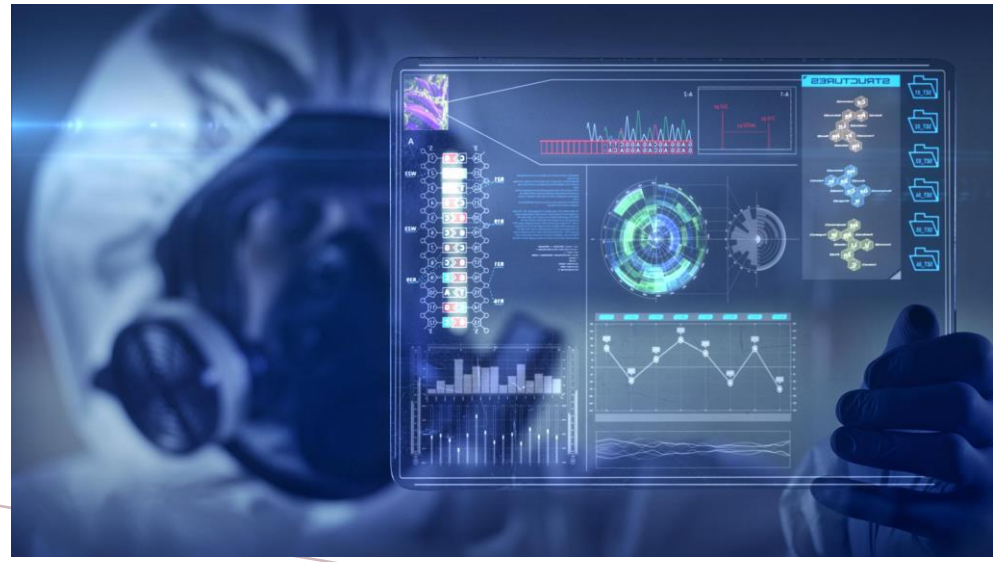
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Comparative Analysis:

Dimension	Amazon Recruitment	COMPAS Risk Assessment
Domain	Employment	Criminal justice
Main Stakeholders	Applicants, recruiters	Defendants, judges, society
Main Transparency Problem	Hidden training-data bias	Opaque decision-making process
Primary Ethical Concern	Fairness and discrimination	Accountability and due process
Consequence of Error	Employment inequality	Potential restrictions on personal liberty
Role of Transparency	Revealing biased patterns	Enabling explanation and contestability
Organizational Response	System discontinued	Continued debate regarding regulation and disclosure

CASE STUDY: AMAZON'S AI RECRUITMENT SYSTEM



Transparency as a Tool for Fairness

The Amazon case supports the argument that transparency improves fairness by allowing organizations to identify discriminatory patterns embedded within training data.

Without transparency:

Historical bias remains hidden.

Developers may not recognize problematic features.

Discriminatory outcomes may persist unnoticed.

From this perspective, transparency serves as an auditing mechanism that improves the ethical quality of AI systems.

CASE STUDY: COMPAS CRIMINAL RISK ASSESSMENT SYSTEM



Transparency as a Tool for Accountability

The COMPAS case emphasizes another dimension of transparency: accountability.

Unlike Amazon, where transparency primarily benefited developers, transparency in COMPAS is important for those affected by AI decisions.

This distinction suggests that transparency operates at multiple levels:

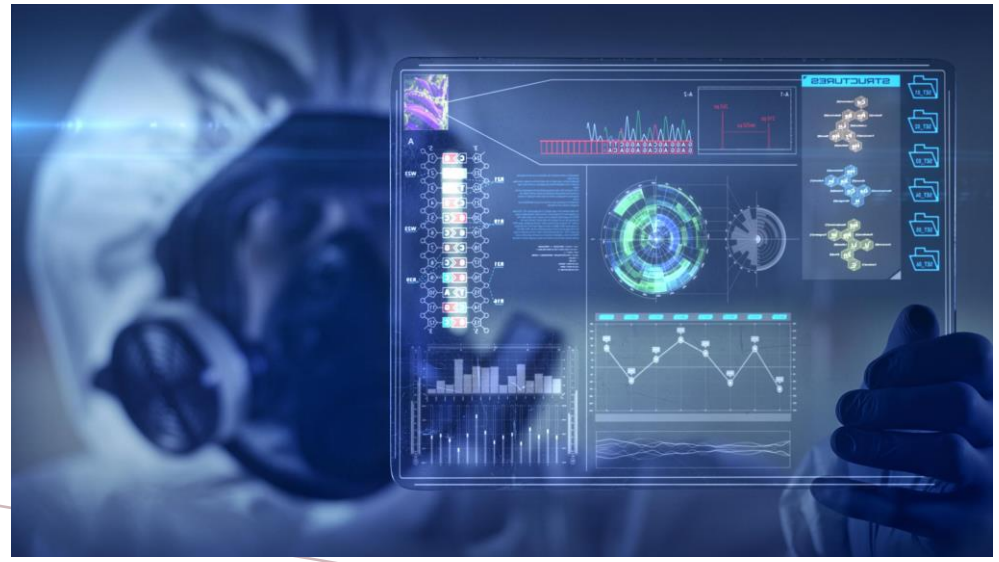
- Developer Transparency

- User Transparency

- Subject Transparency

COMPAS demonstrates that transparency becomes increasingly important as AI decisions carry greater legal, social, and moral consequences.

CASE STUDY: COMPAS CRIMINAL RISK ASSESSMENT SYSTEM



Key Takeaway:

- The Amazon and COMPAS cases illuminate complementary aspects of AI transparency. The Amazon case demonstrates how transparency enables the detection and correction of algorithmic bias before deployment.
- The COMPAS case shows that transparency is equally important after deployment because individuals affected by AI decisions must be able to understand and challenge those decisions.
- Together, the cases suggest that transparency serves both an epistemic function (helping us understand how AI works) and a governance function (ensuring that AI remains accountable to human values and social institutions).

CASE STUDY: APPLE CARD LIMIT CONTROVERSY

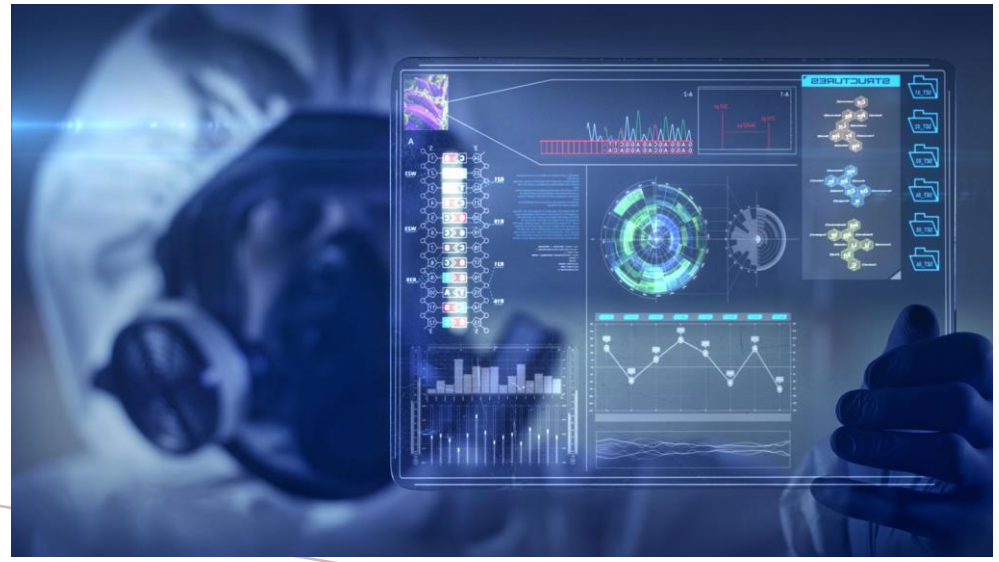


Background:

- In 2019, several Apple Card users publicly reported receiving significantly different credit limits despite having seemingly similar financial profiles. The controversy gained public attention when technology entrepreneur David Heinemeier Hansson claimed that his credit limit was substantially higher than that of his wife, even though she had a stronger credit history.

- Although Apple stated that credit decisions were made by Goldman Sachs rather than Apple itself, the incident prompted regulatory scrutiny and public debate regarding algorithmic decision making in financial services.

CASE STUDY: APPLE CARD LIMIT CONTROVERSY



Transparency Problem:

- The central issue was not merely whether bias existed but whether customers could understand the basis of the AI-assisted credit decision.
  - Affected individuals asked:
  - Why was my credit limit lower?
  - Which variables influenced the decision?
  - Was gender a factor?
  - How can I challenge the outcome?
- The system provided limited information regarding how specific factors contributed to the credit assessment.

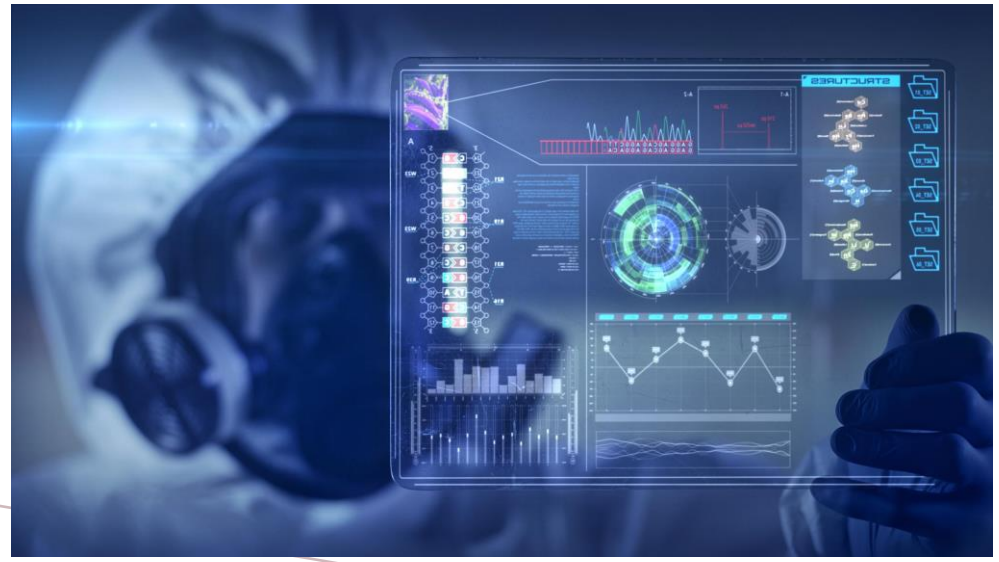
CASE STUDY: COMPAS CRIMINAL RISK ASSESSMENT SYSTEM



Key Takeaway:

- The Amazon and COMPAS cases illuminate complementary aspects of AI transparency. The Amazon case demonstrates how transparency enables the detection and correction of algorithmic bias before deployment.
- The COMPAS case shows that transparency is equally important after deployment because individuals affected by AI decisions must be able to understand and challenge those decisions.
- Together, the cases suggest that transparency serves both an epistemic function (helping us understand how AI works) and a governance function (ensuring that AI remains accountable to human values and social institutions).

CASE STUDY: AIR CANADA CHATBOT (2024)



Background:

- A customer, Jake Moffatt, asked Air Canada's chatbot about bereavement travel discounts. The chatbot stated that he could purchase a regular ticket and later apply for a bereavement fare refund within 90 days.
- Relying on this information, he purchased the ticket and later requested the refund. Air Canada denied the request because its actual policy required the bereavement fare to be arranged before travel.

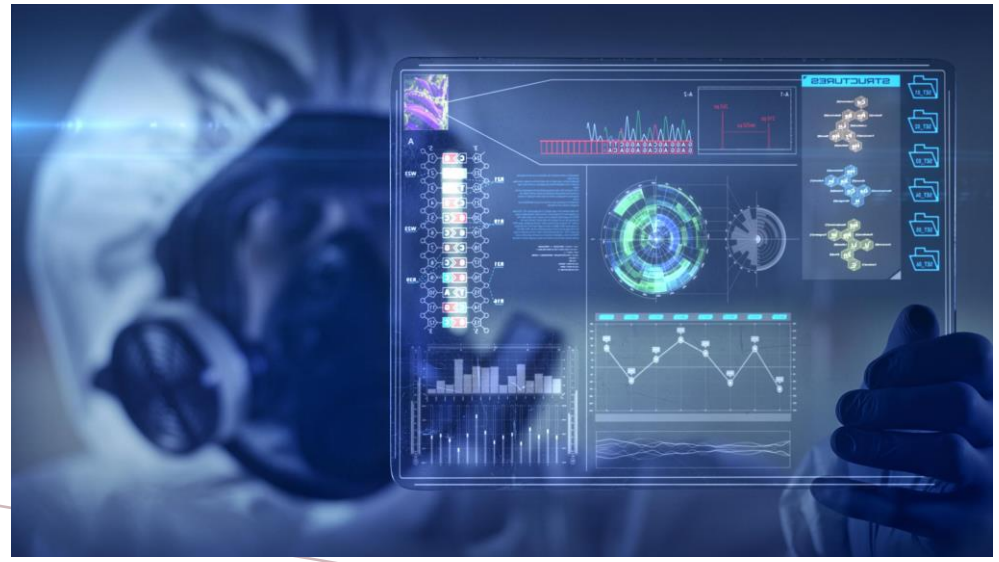
CASE STUDY: AIR CANADA CHATBOT (2024)



Transparency Problem:

- The issue was not algorithmic bias, as in Amazon, nor proprietary opacity, as in COMPAS. Instead, the problem was that users could not determine:
  - Whether the chatbot's information was authoritative.
  - How the chatbot generated its answer.
  - Whether the answer came from official policy documents.
  - What level of confidence should be placed in the response
- Users need transparency regarding the source, reliability, and authority of AI-generated outputs.

CASE STUDY: AIR CANADA CHATBOT (2024)



How Transparency Could Have Been Improved:

- Source Transparency
- Confidence Transparency
- AI Disclosure Transparency
- Explainability Transparency
- Escalation Transparency
- Audit Transparency

Comparing Four Cases

Case	*Domain*	*Transparency Failure*	*Governance Issue*
Amazon Recruiting	HR	Hidden training bias	Fairness
COMPAS	Criminal Justice	Opaque risk scoring	Accountability
Apple Card	Financial Services	Limited explanation	User trust
Air Canada Chatbot	Customer Service	Unclear source and reliability of AI output	Organizational responsibility

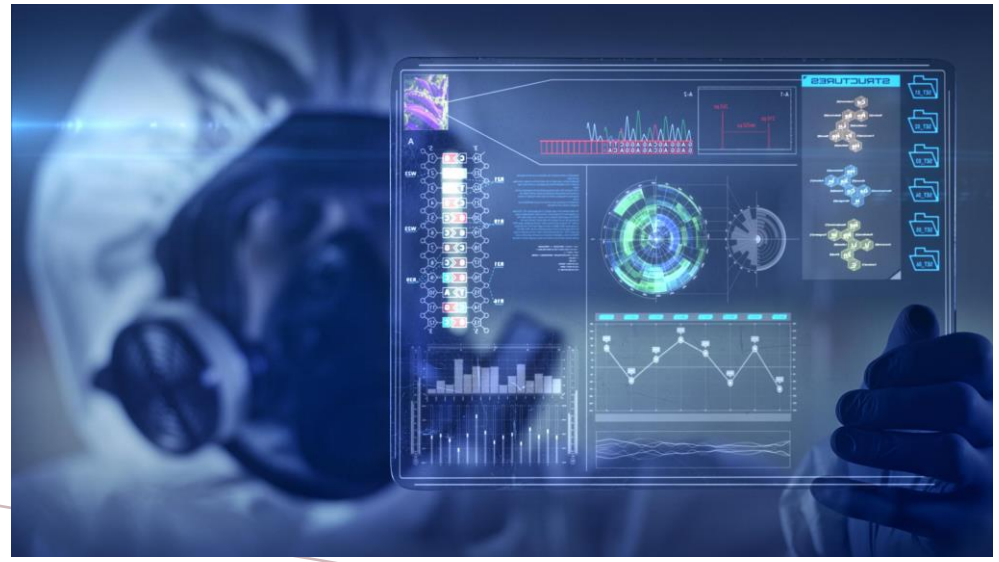
Comparing Four Cases

Case	*Primary Transparency Problem*	*Stakeholder Question*	*Transparency Dimension*
Amazon Recruiting	Hidden bias in training data	"Is the model fair?"	Data transparency
COMPAS	Opaque risk assessments	"Can I challenge the decision?"	Decision transparency
Apple Card	Limited explanation of outcomes	"Why did I receive this result?"	User transparency
Air Canada Chatbot	Unclear reliability of AI-generated answers	"Can I trust this information?"	Output transparency (Source and confidence)

Evolution of AI Transparency

Generation	Case	Transparency Focus	Core Question
1st Generation	Amazon	Data and model inputs	Was the system trained fairly?
2nd Generation	COMPAS	Decision logic and accountability	How was this decision made?
3rd Generation	Apple Card	Individual explanation	Why did this happen to me?
4th Generation	Air Canada	AI-generated content and trustworthiness	Why should I trust this answer?

CASE STUDY: AIR CANADA CHATBOT (2024)



Conclusion

The Air Canada chatbot case extends the concept of AI transparency beyond fairness, explainability, and accountability.

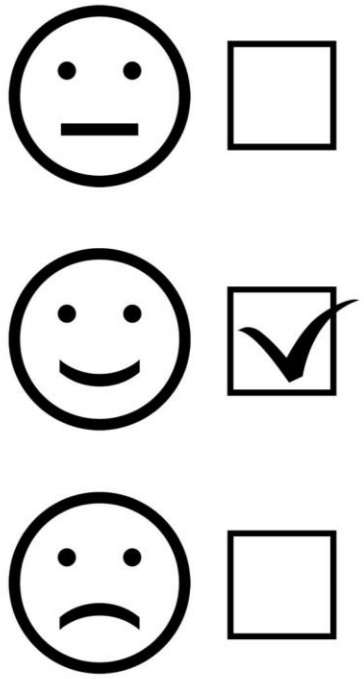
Whereas Amazon focuses on transparency of training data, COMPAS on transparency of decision processes, and Apple Card on transparency of individual outcomes, Air Canada focuses on transparency of AI-generated content itself.

As organizations increasingly deploy generative AI systems, transparency must therefore evolve from explaining how decisions are made to also explaining where information comes from, how reliable it is, and who remains accountable for it.

This makes Air Canada one of the most significant contemporary cases for understanding the next stage of AI transparency governance.

EXAMPLES OF CURRENT INDUSTRIAL PRACTICE

REAL-WORLD EXAMPLE: CHATGPT



Conversational AI Model

ChatGPT uses transformer architecture and diverse datasets to generate human-like conversational responses.

Transparency Challenges

Understanding model behavior, managing biases, and ensuring user awareness are key transparency challenges.

Responsible AI Practices

Usage guidelines, model cards, and feedback mechanisms help improve transparency and responsible AI usage.

Balancing Innovation and Ethics

ChatGPT exemplifies balancing cutting-edge AI innovation with ethical and responsible deployment practices.

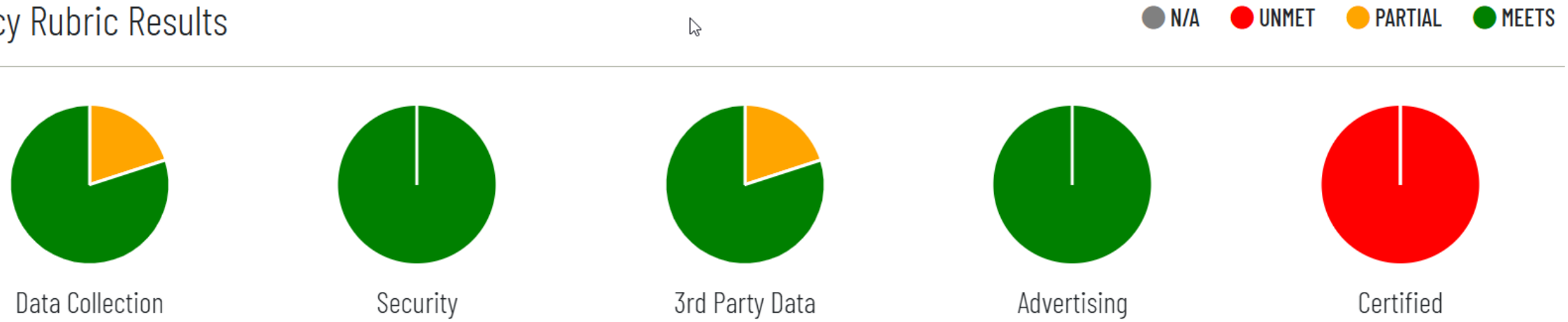
DATA PRIVACY VETTING

Product: **ChatGPT**

Vetted by **Data Privacy,** Data Privacy Team at 1EdTech on 2023-04-05

App Vetting Capability: **Expert** (Self Rated)

Privacy Rubric Results



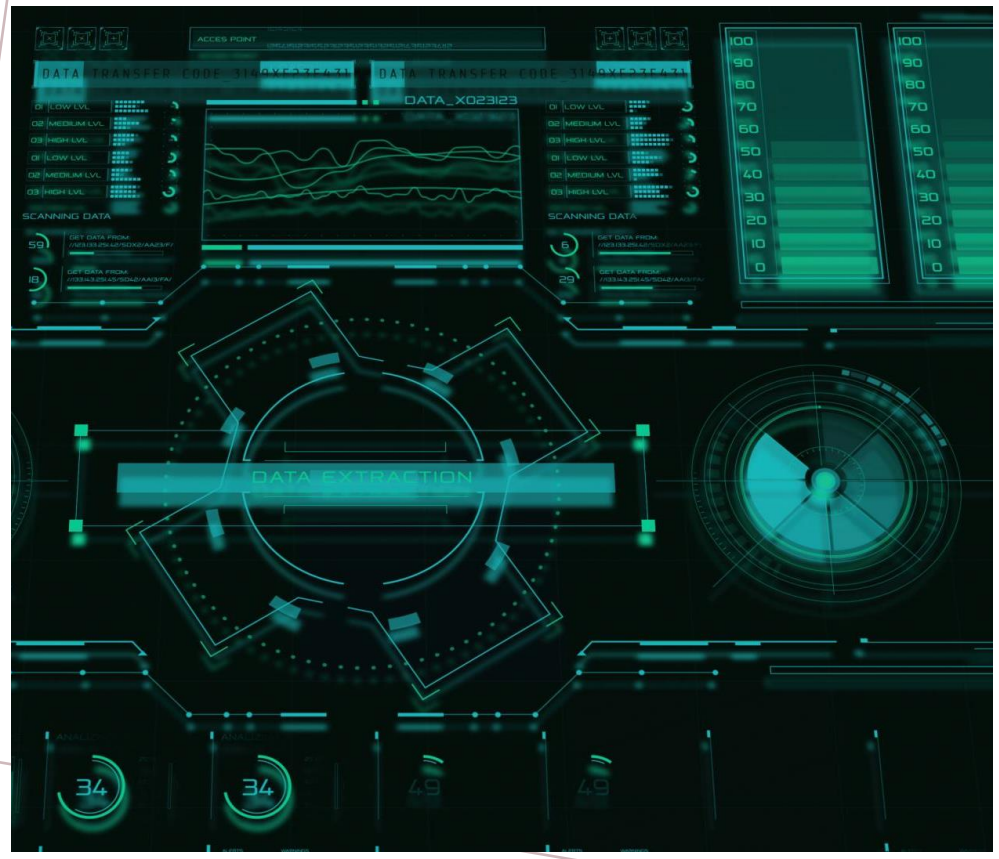
Rubric Area	Expectations		
GENERAL	**MEETS**	**PARTIALLY MEETS**	**DOESN'T MEET**
GEN1 - How are changes to key policies managed? ANSWER: Notification is provided to the user in advance of a change		⚠	
DATA COLLECTED	**MEETS**	**PARTIALLY MEETS**	**DOESN'T MEET**
DCQ1 - Do the policies list all data collected? ANSWER: Policies list the data collected OR policies state no data is collected	✓		
DCQ2 - Do the policies indicate how data is collected? ANSWER: Policies state specifically how data is collected OR policies state no data collected	✓		
DCQ3 - Do the policies state who owns the data? ANSWER: Policies state the user owns the data alone OR policies state no data collected	✓		
DCQ4 - Do the policies allow users to delete their data entirely? ANSWER: Policies allow users to delete data entirely after a period of time OR policies state no data collected	✓		
DCQ5 - Do the policies state the retention of data? ANSWER: Policies state a 90-day (or greater) retention policy OR policies give a general statement of data retention with no time period specified		⚠	

SECURITY	MEETS	PARTIALLY MEETS	DOESN'T MEET
SECQ1 - Do the policies state how data is protected? ANSWER: Policies list the steps taken to protect data or OR policies state no data collected	✓	✗	✗
SECQ2 - Do the policies state all confidential & sensitive information is encrypted throughout? ANSWER: Data encrypted throughout OR passes an encryption test with no vulnerabilities OR policies state no data collected	✓	✗	✗
SECQ3 - Do the policies state whether or not it enforces strong password creation? ANSWER: Supplier enforces strong password creation OR supplier user base exempt from password requirements or OR no account creation required	✓	✗	✗
SECQ4 - Do the policies indicate whether or not it leverages 2 step (or other forms of multifactor) authentication? ANSWER: Supplier uses SSO or an LTI launch OR no account creation is required OR supplier user base exempt from 2-step authentication requirements	✓	✗	✗
SECQ5 - Do the policies state the use of cookies? ANSWER: Policies list all cookies used and each cookie's purpose OR policies state that it only uses cookies that are crucial for app functionality	✓	✗	✗

THIRD PARTY DATA	MEETS	PARTIALLY MEETS	DOESN'T MEET
SHRQ1 - Do the policies state the use of third parties? ANSWER: Policies list each third party separately OR policies state third party use strictly for app functionality OR policies state that they do not use third parties	✓	✗	✗
SHRQ2 - Do the policies state what information is shared with each 3rd party? ANSWER: Policies list the data it shares with each third party separately OR policies state that it does not share any data with any third party	✓	✗	✗
SHRQ3 - Do the policies state whether or not users can opt out of 3rd party data sharing? ANSWER: Policies include an easy opt out process for users OR policies state that it does not share any data with any third party	✓	✗	✗
SHRQ4 - Do the policies state if the supplier requires 3rd parties to adhere to the terms of the vendor/customer agreement? ANSWER: Supplier claims responsibility for third party privacy practices OR policies state that it does not share any data with any third party	✓	✗	✗
SHRQ5 - Do the policies state whether or not user is notified of a change in third parties? ANSWER: Supplier changes third party with no mention of terms OR policies are unclear on data sharing terms with the new third parties	✗	⚠	✗

ADVERTISING	MEETS	PARTIALLY MEETS	DOESN'T MEET
ADVQ1 - Do the policies indicate if advertisements are displayed? **ANSWER:** No ads are displayed	✓	✗	✗
ADVQ2 - Do the policies indicate whether or not users are targeted for advertisement? **ANSWER:** Policies guarantee no ad targeting OR Policies state no ads are used on its platform	✓	✗	✗
ADVQ3 - Do the policies indicate whether or not any 3rd parties track or collect information for advertisement? **ANSWER:** Policies state third parties are not used for ads or tracking	✓	✗	✗
ADVQ4 - Do the policies indicate whether or not web beacons or other tracking methods are used for ad purposes? **ANSWER:** Policies state that it only tracks interactions within its application OR policies state that it does not use any tracking technologies for ads	✓	✗	✗
ADVQ5 - Do the policies state whether or not users can opt out of sharing data with advertisers? **ANSWER:** Policies state in detail how users can opt out of sharing data with advertisers OR policies state no ads are used on its platform	✓	✗	✗

REAL-WORLD EXAMPLE: GOOGLE'S BARD



Factual Accuracy and Retrieval

Bard is designed to deliver factual accuracy and efficient information retrieval using the LaMDA AI model.

Transparency Measures

Bard employs user feedback, disclaimers, and documentation to ensure AI transparency and trustworthiness.

Ethical AI Alignment

Bard aligns AI outputs with user expectations and ethical standards to promote responsible AI use.

Business Learnings

Businesses can adopt Bard's transparency strategies to improve customer-facing AI applications.

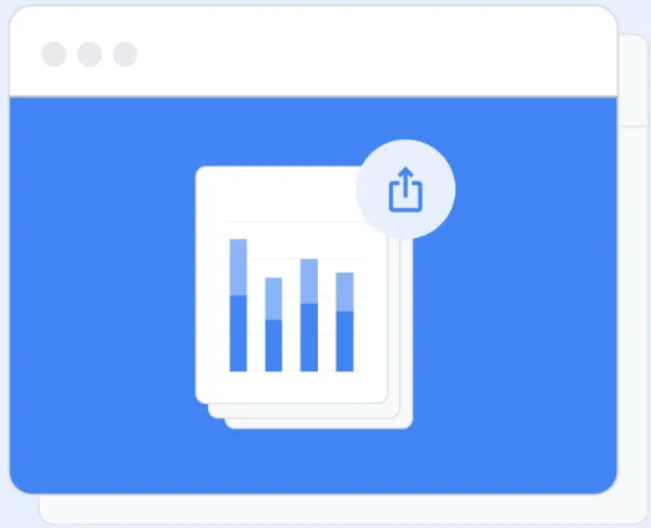
Google products and services.

Championing transparency reports

Increasing visibility to establish trust

More than a decade ago, we launched our first transparency report with the intention to show users how government policy impacts access to information and inform discussions about the free flow of information online. We publish a range of transparency reports that share how Google works — from the way we respond to government requests to how we handle content moderation across our products and services.

Learn about Transparency Reports



CASE STUDY: HEALTHCARE AI



AI Applications in Healthcare

AI supports diagnostics, treatment planning, and continuous patient monitoring to improve healthcare outcomes.

Transparency Importance

Transparency ensures patient safety, regulatory compliance, and builds clinical trust in AI systems.

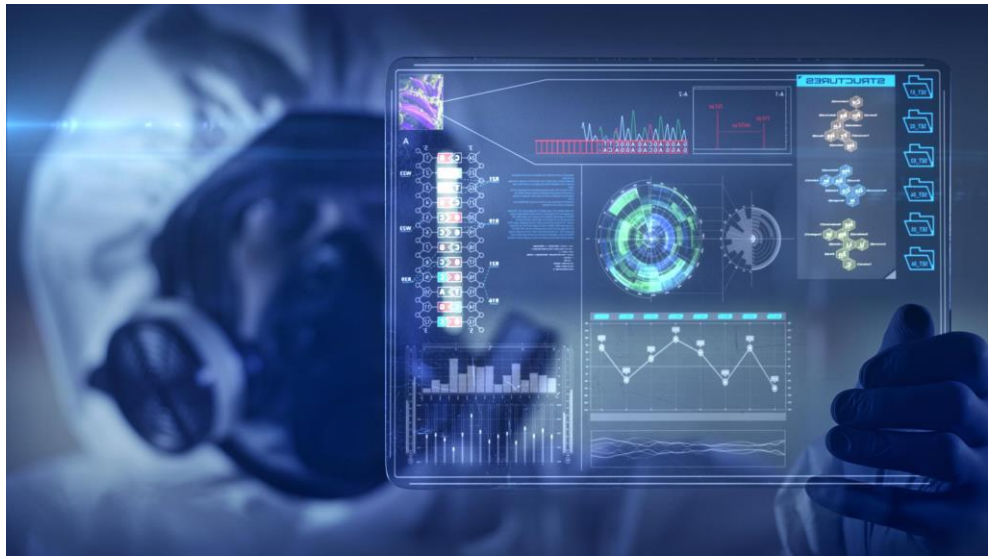
Challenges in Healthcare AI

Complex models, sensitive data management, and alignment with medical standards present key challenges.

Solution Strategies

Using interpretable models, rigorous validation, and stakeholder engagement addresses transparency challenges.

CASE STUDY: FINANCIAL SERVICES



AI Applications in Finance

AI supports credit scoring, fraud detection, and investment analysis to improve financial services efficiency and accuracy.

Importance of Transparency

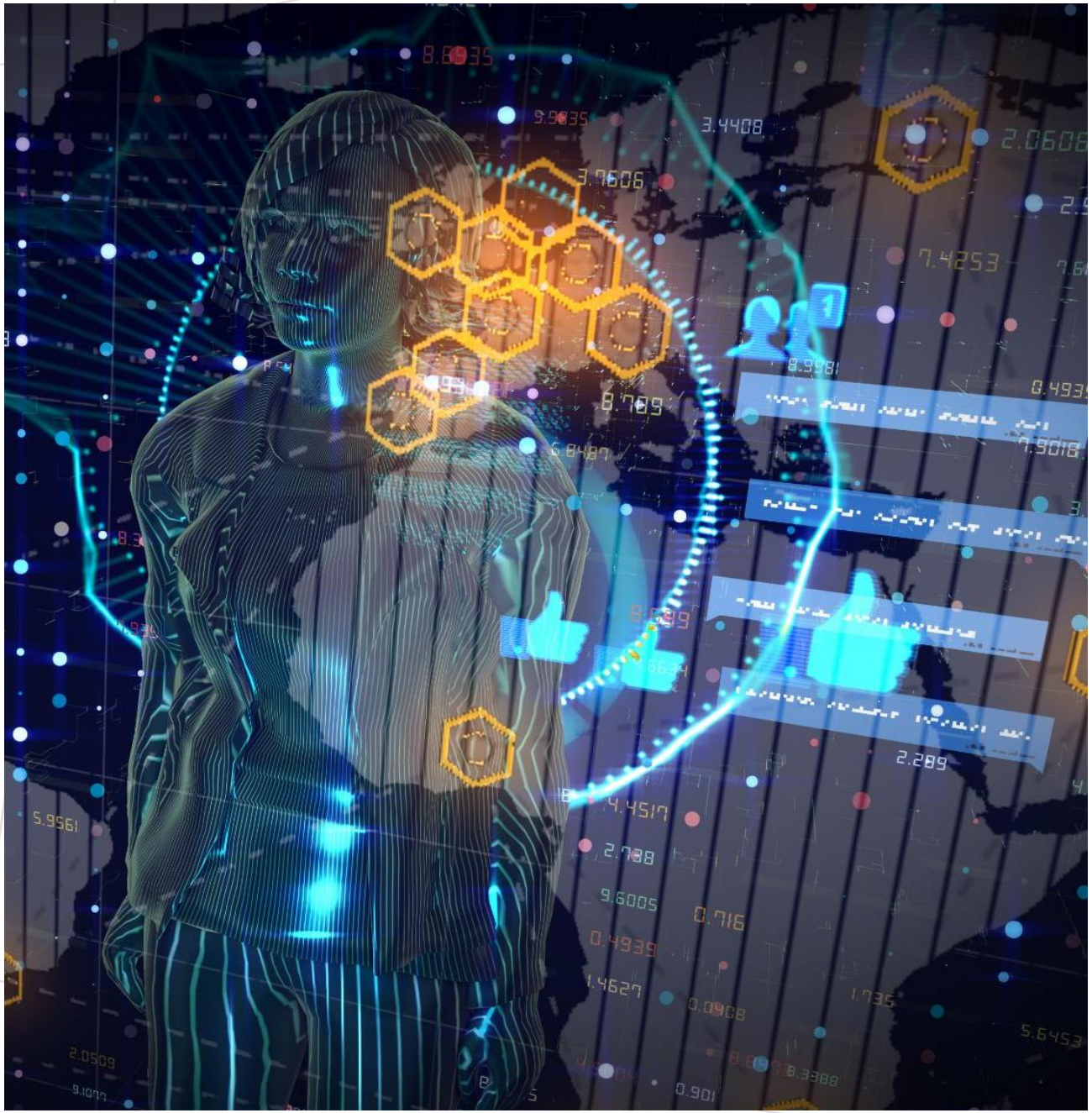
Transparency ensures fairness, regulatory compliance, and builds customer trust in AI-driven financial decisions.

Challenges in AI Systems

Key issues include data bias, model opacity, and decision traceability in AI financial applications.

Solutions for Transparency

Financial institutions use explainable AI, audit trails, and clear communication to address transparency challenges.



ADOBE: TRANSPARENT TRAINING DATA

Proactive AI Transparency

Adobe's Firefly AI openly discloses all image sources used for training its generative models.

Ethical Content Generation

The tool uses only Adobe-owned or public domain images, ensuring no copyright infringement.

Building User Trust

Transparency in data sources fosters trust and sets an example for responsible AI in creative industries.

Our approach to generative AI with Adobe Firefly.

We developed Adobe Firefly to prevent it from creating content that infringes copyright or intellectual property rights and it is designed to be commercially safe.

We do not and have never trained Adobe Firefly on customer content.

We only train Adobe Firefly on content where we have permission or rights to do so.

We do not mine content from the web to train Adobe Firefly.

We compensate creators who contribute to Adobe Stock for use of their content in training Adobe Firefly.

We defend the intellectual property rights of the creative community through advocating for the Federal Anti-Impersonation Right Act.

We do not claim any ownership of your content, including content you create with Adobe Firefly.

We believe in protecting creator rights and founded the Content Authenticity Initiative (CAI) focused on ensuring transparency in content ownership and how it was created.

We explicitly prohibit and take steps to prevent third parties from training on customer content hosted on our servers (such as on Behance).

MICROSOFT: EXPLAINABILITY BY DEFAULT



AI Transparency Integration

Microsoft's Azure SDK includes model_explainability by default to increase AI transparency and decision clarity.

Support for Fairness and Accountability

Explainability features help developers ensure AI fairness and accountability in model predictions.

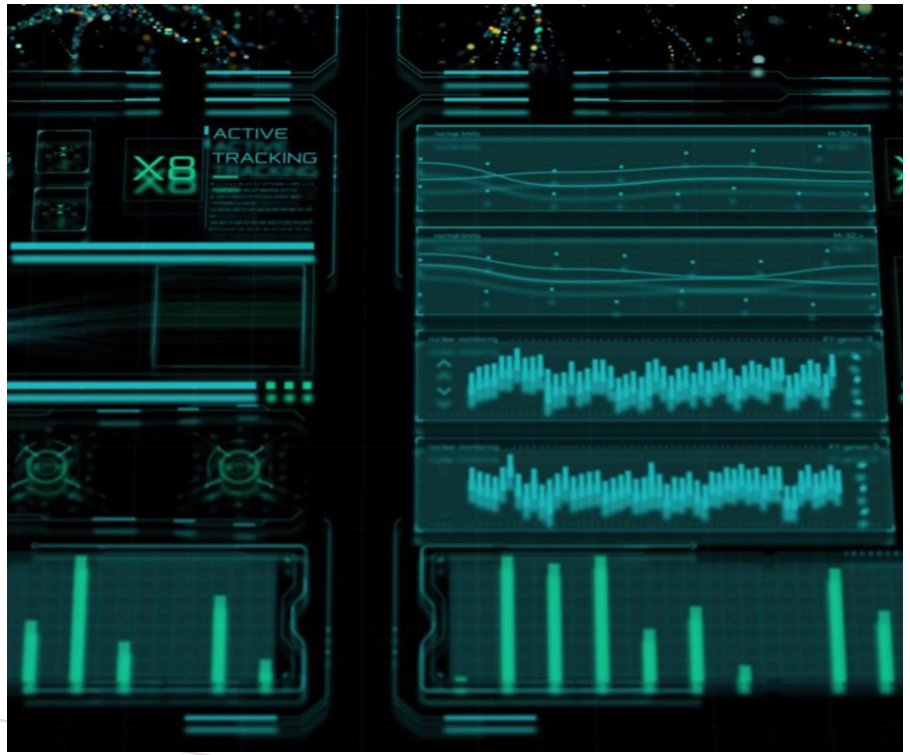
Empowering Ethical AI Development

Default explainability empowers developers to build interpretable and ethical AI systems.

Building User Trust

Explainability helps users understand and trust machine learning model outputs.

SALESFORCE: SOURCE ATTRIBUTION AND UNCERTAINTY FLAGS



Transparency in AI

Salesforce prioritizes transparency by citing sources to enhance AI accuracy and user trust.

Uncertainty Flags

Uncertainty flags highlight when AI outputs may be less reliable, guiding user verification.

Promoting Responsible Use

Visible uncertainty encourages users to verify insights, fostering responsible AI usage.

Building Trust

Making AI uncertainty visible helps build trust and supports informed decision-making.



INTESA SANPAOLO: EXPLAINABLE CREDIT SCORING

Explainable AI Models

The bank uses AI models that provide clear and understandable credit scoring explanations to customers.

Reducing Bias and Increasing Trust

Explainability reduces bias in credit decisions and builds customer trust in financial services.

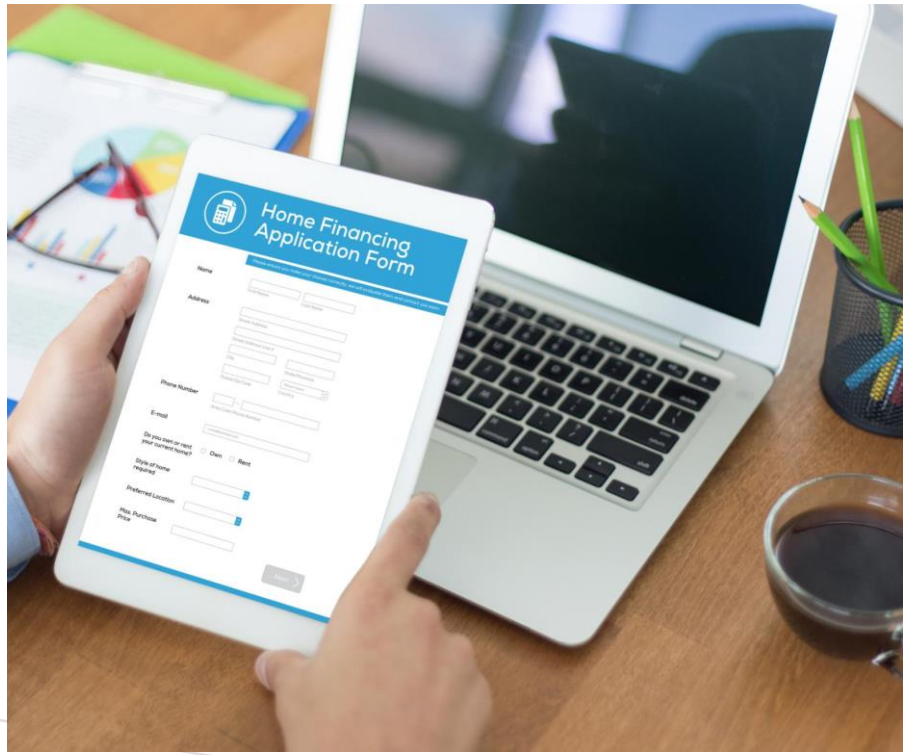
Regulatory Compliance

Prioritizing explainability helps the bank meet regulatory standards for transparent decision-making.

Enhanced Customer Satisfaction

Transparent credit scoring improves customer satisfaction by clarifying approval or denial reasons.

KREDITO: REAL-TIME LOAN EXPLANATIONS



Real-Time AI Explanations

Kredito provides immediate explanations for loan decisions using AI, enhancing customer clarity and trust.

Transparency and Compliance

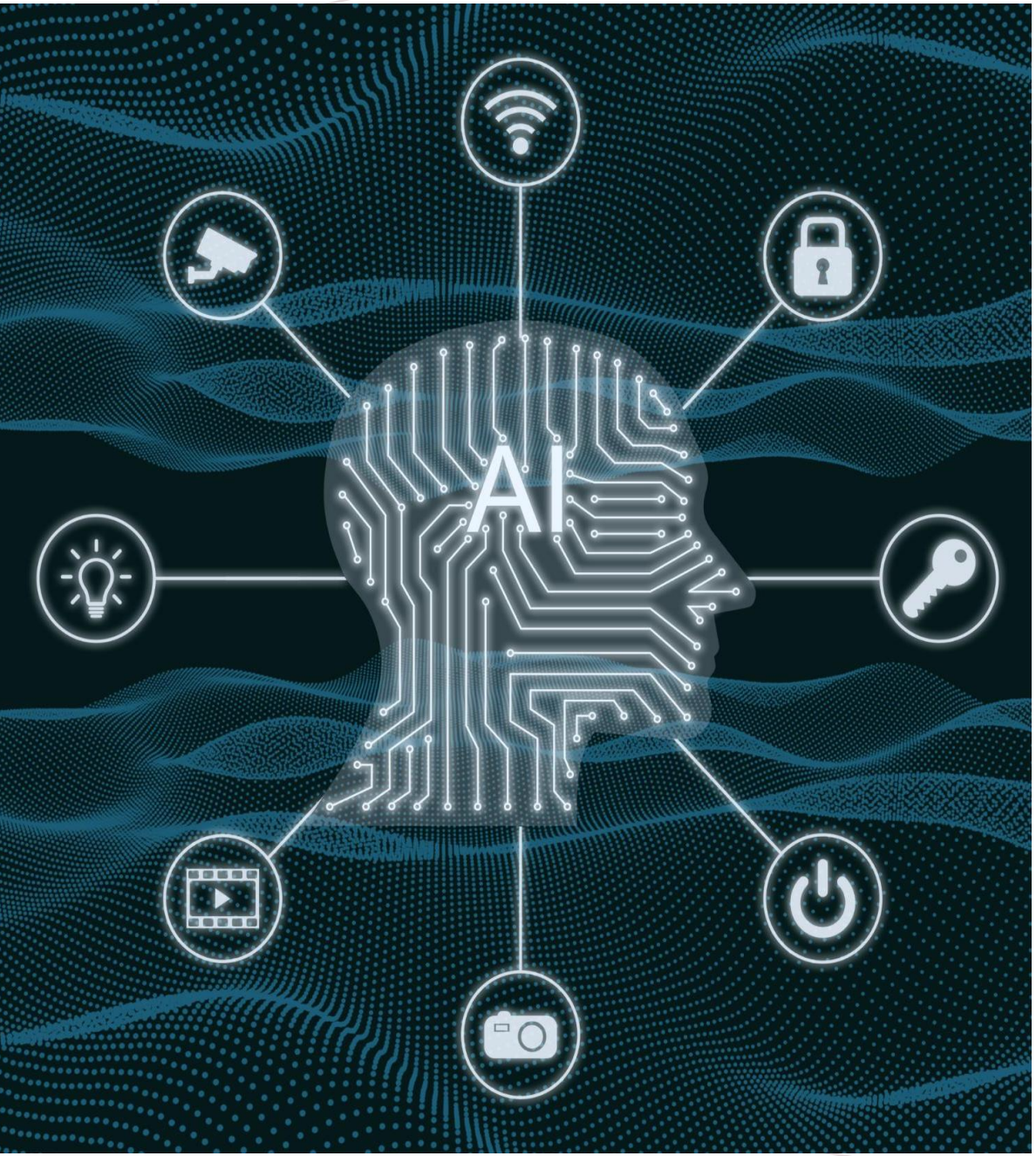
Transparency in loan decision-making supports regulatory compliance and builds customer confidence.

Enhanced Customer Experience

Immediate insights into AI decisions improve user trust and overall customer satisfaction.

Competitive Differentiation

Leveraging transparency helps fintech firms differentiate and strengthen client relationships.



GOOGLE: MODEL CARDS AND AI PRINCIPLES

AI Transparency

Model Cards provide clear information about AI system performance and potential biases across demographics.

Ethical AI Principles

Google's AI principles promote fairness, accountability, and ethical development of AI technologies.

User Trust and Accountability

Transparency and clear documentation foster user trust and responsible AI usage.



IBM: AI FAIRNESS 360 TOOLKIT

Bias Detection in AI

The toolkit enables detection of bias in machine learning models across various domains to ensure fairness.

Ethical AI Commitment

IBM's toolkit supports ethical AI development by promoting transparency and accountability.

Empowering Developers

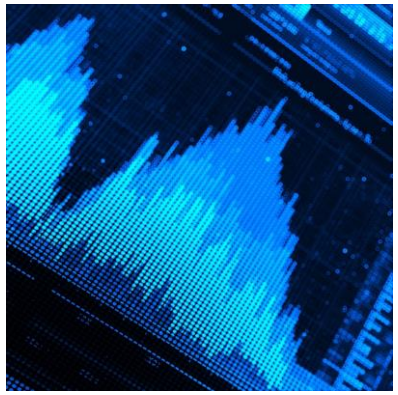
The open-source nature allows developers to adjust models for fairness and build equitable AI systems.

ANTHROPIC & AMAZON: TRANSPARENCY SCORE IMPROVEMENTS



Score Improvements

Anthropic increased its AI transparency score by 15 points from late 2023 to mid-2024, showing growth.



Amazon's Tripled Score

Amazon's AI transparency score more than tripled, reflecting substantial progress in explainability.



Commitment to Explainability

Both companies demonstrate commitment to AI explainability and regulatory readiness through transparency efforts.

ACCENTURE: AI ETHICS FRAMEWORK AND TRAINING



AI Ethics Framework

Accenture developed a comprehensive AI Ethics Framework to ensure fairness, accountability, and transparency in AI solutions.

Center of Excellence

A dedicated Center of Excellence supports embedding ethical AI practices throughout enterprise AI development and deployment.

Employee Training

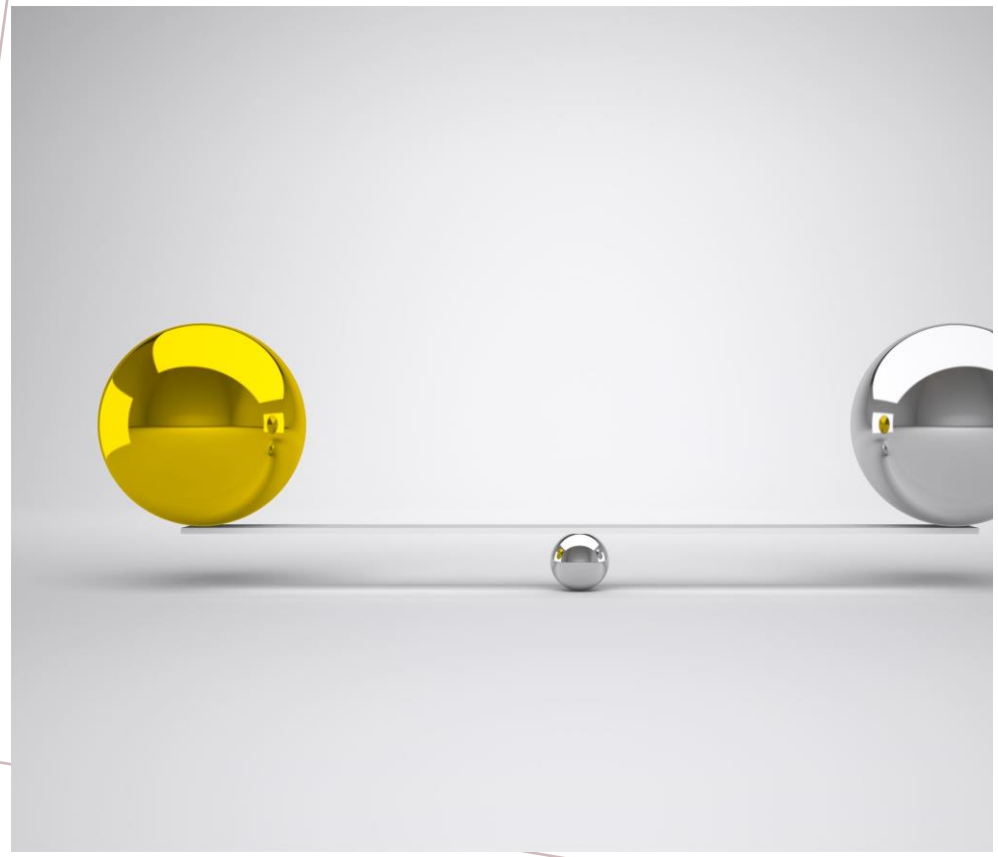
Thousands of employees have been trained on responsible AI practices to promote ethical awareness and accountability.

Institutionalizing AI Transparency

Accenture's approach provides a scalable model for large organizations to institutionalize transparency and ethics in AI.

ETHICAL, LEGAL, AND BUSINESS IMPLICATIONS

ETHICAL CONSIDERATIONS



Addressing Bias and Fairness

AI transparency involves identifying and mitigating bias to ensure fairness in decision-making processes.

Protecting Privacy

Safeguarding user data privacy is crucial for maintaining ethical AI transparency and user trust.

Ethical Governance Strategies

Implementing ethical audits, stakeholder consultations, and adhering to frameworks ensures accountable AI use.

Building Trust and Reputation

Ethical transparency in AI fosters trust, supports social responsibility, and enhances brand reputation.

LEGAL CONSIDERATIONS



Regulatory Compliance

Compliance with regulations like GDPR and the AI Act is essential for legal operation and data protection.



Transparency Requirements

Transparency ensures algorithmic accountability, consumer rights, and clear user disclosures in AI systems.



Risk Mitigation

Documenting AI processes and enabling auditability helps mitigate legal risks and supports ethical governance.

BUSINESS IMPLICATIONS



Customer Trust Enhancement

Transparent AI fosters improved customer trust by clearly explaining decision processes and outcomes.

Strategic Decision-Making

Transparent AI supports better decision-making by providing clear, interpretable insights for business strategies.

Competitive Advantage

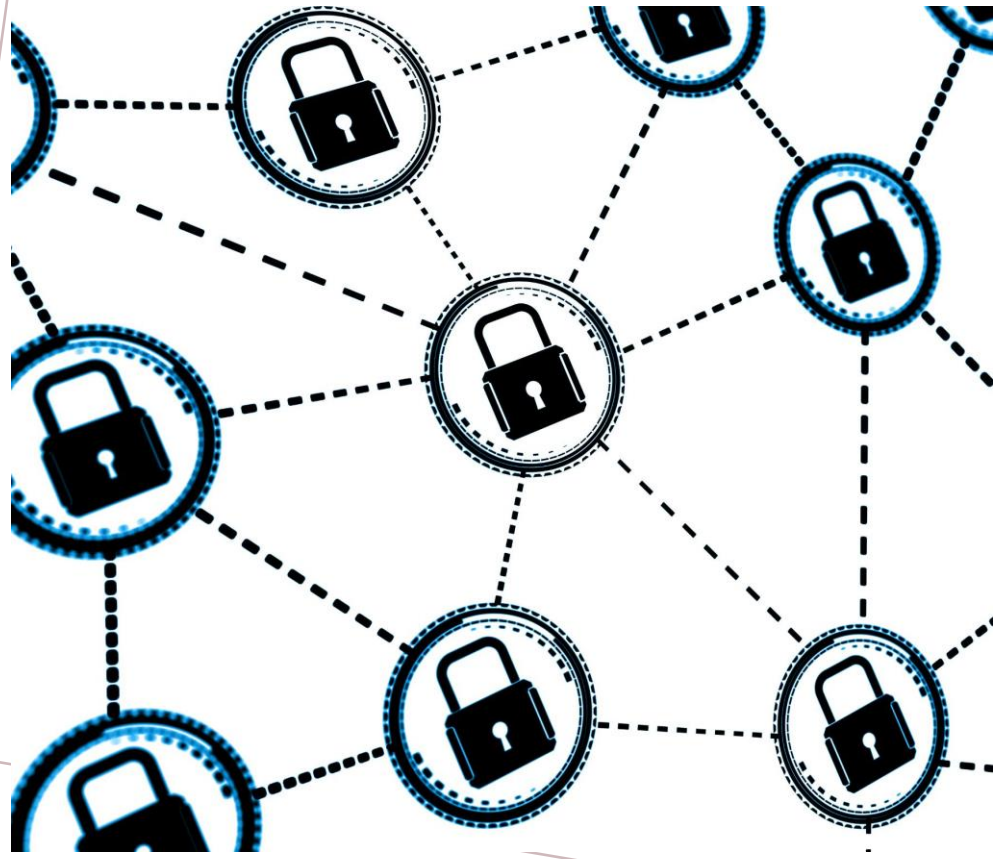
Prioritizing AI transparency helps businesses differentiate themselves and gain a competitive edge in the market.

Risk Mitigation and Innovation

Transparent AI enables risk reduction and fosters innovation through stakeholder engagement and strategic alignment.

CHALLENGES, SOLUTIONS, AND ENGAGEMENT

CHALLENGES IN ACHIEVING TRANSPARENCY



Model Complexity

Complex AI models make it difficult to understand and explain decision-making processes clearly to stakeholders.

Proprietary Algorithms

Proprietary and closed-source algorithms limit auditing and transparency due to restricted access and confidentiality.

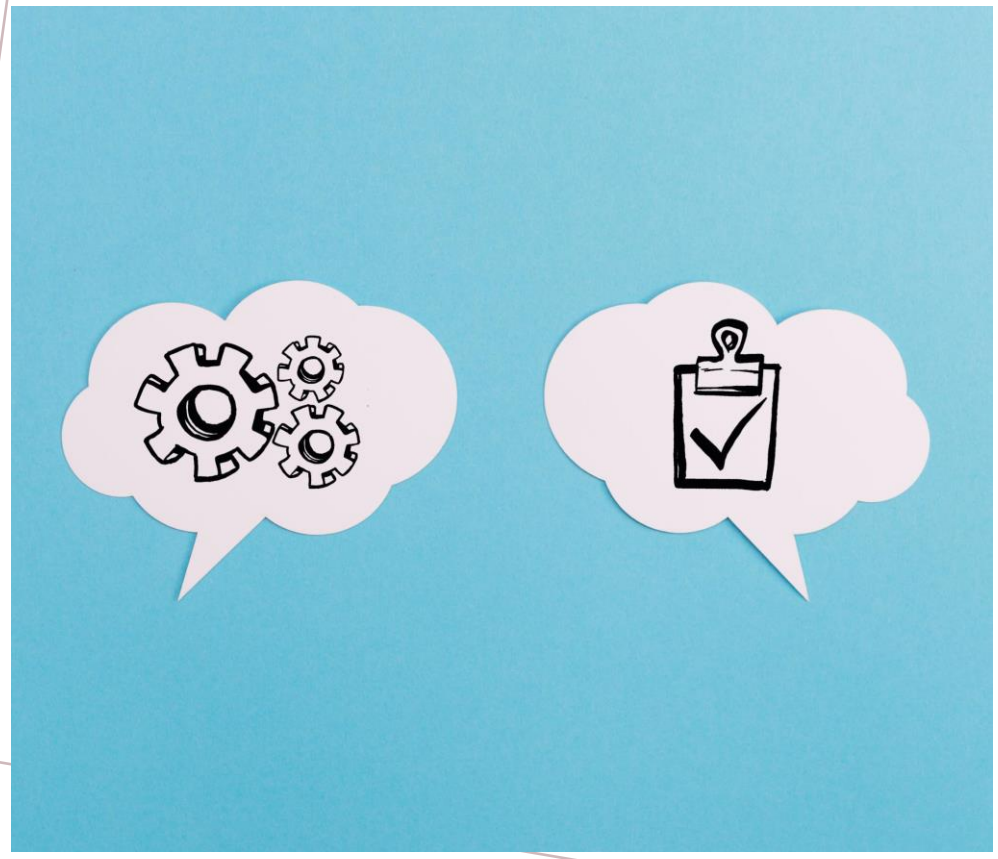
Data Privacy Concerns

Data privacy regulations restrict sharing of sensitive data, hindering transparent AI evaluations and audits.

Regulatory and Competitive Pressures

Businesses face pressures from regulations and competition that complicate transparency efforts and compliance.

SOLUTIONS AND BEST PRACTICES



Interpretable AI Models

Using interpretable AI models helps make decision processes clear and understandable to stakeholders.

Documentation and Stakeholder Engagement

Documenting data sources and involving stakeholders ensures transparency and collaborative oversight.

Transparency Audits and Ethical Reviews

Conducting transparency audits and ethical reviews promotes accountability and continuous improvement.

Integrating Transparency into Governance

Embedding transparency in AI development and governance enhances trust and performance.